INVESTING & MARKETS (INDIA)

Taxation & Regulation for Indian Investors

Keeping what you earn — the full Indian investor's tax manual after the 23 July 2024 changes: the capital-gains rate matrix with worked computations for every asset class, the ₹1.25 lakh s.112A exemption and grandfathering, specified debt funds under s.50AA, dividends and buyback after October 2024, bonus/split/rights/demerger cost basis, the complete transaction cost stack, F&O turnover and tax audit, set-off and carry-forward worked across years, advance tax with 234B/234C, ITR schedules, AIS reconciliation, LRS and Schedule FA, and the SEBI grievance routes.

taxation · india · capital gains · section 112a · section 111a · stcg · ltcg · stt · f&o taxation · tax audit · advance tax · itr · set off carry forward · schedule fa · sebi · crypto tax

Study Pack · Comprehensive reference & interview prep · ~114 min read · 25,014 words

CONTENTS

1. Why Tax Literacy Is Worth More Than One Extra Percent of Return
2. The Heads of Income Your Investing Touches
3. Capital Assets, Holding Periods and the Classification Table
4. The Rate Matrix After 23 July 2024, with Worked Computations
5. The Section 112A Exemption, Grandfathering, and Tax-Gain Harvesting
6. Specified Debt Mutual Funds Under Section 50AA
7. Dividends, TDS and Foreign Dividend Income
8. Buyback Taxation After October 2024
9. Cost Basis Events: Bonus, Split, Rights and Demerger
10. The Full Transaction Cost and Tax Stack
11. Intraday and F&O as Business Income
12. Turnover Computation and Tax Audit Applicability
13. Expenses Deductible Against Trading Income
14. Set-Off and Carry-Forward Rules in Full
15. Advance Tax, and Interest Under Sections 234B and 234C
16. Which ITR Form, and Which Schedules

17. Using the AIS, TIS and Form 26AS to Reconcile
18. NRI Investors — the Differences That Matter
19. Foreign Investing: LRS, TCS, Schedule FA and the Black Money Act
20. Crypto and Virtual Digital Assets
21. The Regulatory Layer — SEBI, Protection and Grievance Routes
22. Frequently Asked Questions
23. The Tax-Year Calendar and Document Checklist

Why Tax Literacy Is Worth More Than One Extra Percent of Return

An investor who spends two hundred hours a year hunting for an extra percentage point of return, and zero hours understanding how that return is taxed, has the priorities backwards. The difference between a well-structured and a careless approach to the same portfolio is routinely two to four percentage points a year — larger than almost any selection edge, available with certainty rather than probability, and entirely within your control.

This is tax and financial education. It is NOT tax advice, legal advice or investment advice.
Nothing here is a recommendation to buy, sell or hold any security, scheme, fund, platform or product, and no specific instrument is named anywhere. Nothing here is a substitute for professional advice on your own return. **Tax law is fact-specific, changes every year, is interpreted differently by different assessing officers, and is litigated constantly.** Every computation in this guide is an illustration of a method, built on stated assumptions, not a statement of your liability. **Have a chartered accountant review your actual return before you file it**, particularly if you have business income, foreign assets, derivatives activity, crypto transactions or non-resident status. Capital is at risk in every investment discussed.

⚠ **Dated throughout — as at FY 2025-26 / AY 2026-27. Verify everything.**
Every rate, threshold, exemption, due date and section number in this guide is stated **as at FY 2025-26 (AY 2026-27)** and must be verified at **incometax.gov.in** before you rely on it. Rates change by Finance Act each year; due dates are routinely extended by CBDT notification; thresholds move; and the interpretation of several provisions is actively contested.

Five in-flight items you must check the current status of:
• The **Income-tax Act 2025** replaces the **Income-tax Act 1961** with effect from **1 April 2026**. Section numbers are renumbered throughout. Every section reference in this guide (111A, 112A, 50AA, 44AB, 44AD, 70, 71, 72, 73, 74, 115BBH, 194S, 234B, 234C and the rest) is a **1961 Act** reference and must be cross-checked against the new section map. The substance is largely carried over but the numbering is not. **Verify current status.**
• The **capital gains changes effective 23 July 2024**: STCG on listed equity under s.111A raised to **20%**; LTCG under s.112A raised to **12.5%** with the exemption raised to **₹1,25,000**; **indexation removed** for most assets; a flat **12.5%** for other long-term capital assets. Transactions straddling that date are treated differently. **Verify current status.**
• **Specified debt mutual funds** acquired on or after **1 April 2023** are taxed at **slab rates** under **s.50AA** with no long-term treatment. The definition of "specified mutual fund" has itself been amended. **Verify current status.**
• **STT increases on F&O effective 1 October 2024. Verify current rates.**
• The **new tax regime is the default** under s.115BAC, and **most Chapter VI-A deductions are unavailable** under it. Which regime is better for you is a computation, not a rule of thumb. **Verify current slabs, rebate and deduction availability.**

The arithmetic of tax drag

TEXT

```
TWO INVESTORS, IDENTICAL INVESTMENTS,
DIFFERENT TAX BEHAVIOUR

Both invest Rs 15,00,000 and both hold assets
that compound at 12% p.a. gross for 20 years.
Assume listed equity and the FY 2025-26 rates:
  STCG under s.111A           20%
  LTCG under s.112A           12.5% above
                              Rs 1,25,000 p.a.
(VERIFY current rates and exemption.)

INVESTOR P - churns the portfolio once a year,
every year, with every gain short-term

  Each year: gross 12%, taxed at 20%
  Net compounding rate = 12% x (1 - 0.20)
                       = 9.6%
  20-year value = 15,00,000 x 1.096^20
                = Rs 94,26,000

INVESTOR Q - buys and holds for 20 years, pays
LTCG once at the end

  Gross 20-year value
    = 15,00,000 x 1.12^20 = Rs 1,44,71,000
  Gain = Rs 1,29,71,000
  Less Rs 1,25,000 exemption = Rs 1,28,46,000
  Tax at 12.5% = Rs 16,05,750
  Net = Rs 1,28,65,250

DIFFERENCE = Rs 34,39,000
on the SAME gross return, the SAME assets,
the SAME 20 years.

Expressed as an annualised drag:
  P's effective net CAGR   9.60%
  Q's effective net CAGR  11.37%
  DIFFERENCE               1.77 percentage
                           points a year

That 1.77 points a year came from one behaviour:
not selling. No research, no skill, no forecast,
no risk.

INVESTOR R - buys and holds, but harvests the
exemption each year by realising up to
Rs 1,25,000 of long-term gain annually and
immediately repurchasing
```

```
  Over 20 years, approximately Rs 25,00,000 of
  gain is moved into the exempt band, saving
  roughly Rs 3,12,500 of tax plus the
  compounding on it.
  (Transaction costs on 20 harvest round-trips
   must be subtracted; see the cost stack
   section. Net benefit is positive but smaller
   than the headline.)

Illustrative arithmetic on assumed returns and
FY 2025-26 rates. Not a forecast, not advice.
```

1.77pp	12.5%	20%	₹1.25L
ANNUAL DRAG FROM CHURN	LTCG S.112A	STCG S.111A	S.112A EXEMPTION

Where the money actually leaks

Leak	Typical annual cost	Difficulty of fixing
Unnecessary short-term realisation (selling at 11 months instead of 13)	0.5–2.0 percentage points	Trivial — check the holding period before selling
Not using the s.112A exemption each year	Up to ₹15,625 of tax a year on a fully used exemption	Easy — one transaction in March, settlement timing permitting
Not harvesting losses against gains	Varies; can be large in a bad year	Easy, with records
Losing carry-forward by filing late	Can be catastrophic — an entire year's loss permanently forfeited	Trivial — file by the due date
Advance tax shortfall interest under s.234B/s.234C	1% a month on the shortfall	Easy with a quarterly estimate
Misclassifying trading activity (capital gains vs business income)	Varies; can trigger audit and penalty exposure	Needs professional advice
Not disclosing foreign assets in Schedule FA	Penalty exposure under the Black Money Act, which is severe and not proportionate to the amount	Easy to do, catastrophic to omit
Not reconciling the AIS before filing	Notices, scrutiny, interest	Easy — one hour on the portal
Paying slab-rate tax on interest that could have been structured differently	Up to 30% plus surcharge and cess on interest income	Moderate
Choosing the wrong tax regime	Varies widely by income and deductions	Easy — compute both; the portal provides a comparison

> **Tax is a constraint, not an objective**
> The error in the other direction is real too: holding a position you should sell purely to defer tax, buying a product solely for a deduction, or routing money through a structure you do not understand to save a few thousand rupees. **Never let the tax tail wag the investment dog.** The correct sequence is: decide what the portfolio should hold, then execute it in the most tax-efficient way available. Not the reverse.

The Heads of Income Your Investing Touches

Indian income tax computes your liability under five heads. Investing touches three of them, and the *same transaction* can fall under different heads depending on facts and intention. Getting the head right is upstream of every rate, every deduction and every form — and it is the question most retail investors never consciously ask.

The five heads

Head	What falls here	Relevant to an investor?
Salaries	Salary, allowances, perquisites including RSU/ESOP perquisite value at vest or exercise	Yes — equity compensation enters here first, then capital gains on sale
Income from house property	Rental income (actual or deemed), with the standard deduction and interest deduction	Yes if you own let-out property; loss here has special set-off rules
Profits and gains of business or profession	Trading treated as a business — intraday (speculative) and F&O (non-speculative); professional and freelance income	Yes — this is where derivatives and intraday activity land
Capital gains	Gains on transfer of a capital asset: shares, units, property, gold, bonds	Yes — the main head for a long-term investor
Income from other sources	Interest (bank, bonds, deposits), dividends, winnings, residual items	Yes — dividends and all interest land here

Capital gains versus business income — the classification that changes everything

The same purchase and sale of listed shares can be taxed as a capital gain or as business income, and the consequences are very different. There is no single statutory test; classification is a question of fact determined on the overall circumstances, and CBDT has issued circulars intended to reduce litigation on this point. The factors routinely examined are:

Factor	Points toward capital gains	Points toward business income
Holding period	Long — months to years	Short — days to weeks
Frequency of transactions	Low	High, regular, systematic
Volume relative to capital	Turnover small relative to portfolio	Turnover many multiples of capital
Source of funds	Own surplus funds	Borrowed funds, margin
Intention at purchase	To hold as an investment and earn appreciation and dividends	To deal, to profit from price movement
Treatment in your books	Shown as investments	Shown as stock-in-trade
Infrastructure and time	Casual	Dedicated setup, systematic record-keeping, substantial time
Principal occupation	Salaried or professional elsewhere	Trading is the main activity
Delivery	Shares taken into demat	Intraday squared off, or derivative settled in cash

⚠ **Two things are settled, and one is not — verify current position**

Settled by the nature of the transaction: intraday equity (bought and sold the same day, no delivery) is **speculative business income**; and **F&O on recognised exchanges is non-speculative business income** by virtue of the specific carve-out in the proviso to s.43(5). Neither is capital gains, whatever your intention.

Not settled: delivery-based equity trading in the grey zone between "investor" and "trader." CBDT has issued circulars permitting a taxpayer to adopt a consistent position on listed shares held for longer periods, with the key condition being **consistency year to year** — you cannot classify as capital gains when gains are taxed favourably and as business income when losses need wider set-off. **Verify the current CBDT guidance and discuss your specific facts with a chartered accountant.**

Why the classification matters in rupees

TEXT

```
SAME ACTIVITY, TWO CLASSIFICATIONS
FY 2025-26 rates assumed. VERIFY.

Investor in the 30% slab (plus applicable
surcharge and 4% health and education cess).
Delivery-based listed equity, held 4 months.
Gross gain Rs 6,00,000.
Expenses incurred: broker charges Rs 18,000,
internet and data Rs 12,000, advisory
subscription Rs 24,000, depreciation on a
computer Rs 15,000.

AS CAPITAL GAINS (short-term, s.111A)
  Gain                          Rs 6,00,000
  Deductible expenses: ONLY cost of
    acquisition, cost of improvement and
    expenditure wholly and exclusively in
    connection with the transfer (broker
    charges, STT is specifically NOT allowed
    as a deduction for s.111A purposes)
  Allowable here, say           Rs   18,000
  Taxable STCG                  Rs 5,82,000
  Tax at 20%                    Rs 1,16,400
  Plus cess 4%                  Rs    4,656
  TOTAL                         Rs 1,21,056

AS BUSINESS INCOME
  Gross receipts/gain           Rs 6,00,000
  Less: broker charges          Rs   18,000
  Less: internet and data       Rs   12,000
  Less: advisory subscription   Rs   24,000
  Less: depreciation            Rs   15,000
  Less: STT (allowed as a business
    expense when taxed as business income)
                          say   Rs    6,000
  Net business income           Rs 5,25,000
  Added to total income, taxed at slab.
  At a 30% marginal rate        Rs 1,57,500
  Plus cess 4%                  Rs    6,300
  TOTAL                         Rs 1,63,800

CAPITAL GAINS IS CHEAPER HERE by Rs 42,744.

NOW REVERSE IT: suppose instead of a Rs 6,00,000
GAIN there is a Rs 6,00,000 LOSS.

  AS SHORT-TERM CAPITAL LOSS
    Can be set off against STCG and LTCG only.
```

```
    Cannot touch salary.
    Carried forward 8 years, against capital
    gains only.
    Tax benefit THIS year if you have no other
    capital gains: ZERO.

  AS NON-SPECULATIVE BUSINESS LOSS
    Can be set off against any head EXCEPT
    salary in the same year (s.71), including
    interest, rental and other business income.
    Carried forward 8 years against business
    income (s.72).
    Tax benefit this year if you have, say,
    Rs 3,00,000 of interest income: Rs 93,600
    of tax saved immediately.

THE ASYMMETRY IS THE POINT, and it is exactly
why you cannot pick the classification that
suits the year's outcome. Consistency is the
requirement. Decide the correct classification
on the facts, document the reasoning, and apply
it every year.

Rates, allowability and set-off rules as at
FY 2025-26 / AY 2026-27. VERIFY. This is an
illustration of a method, not advice.
```

Within business income: speculative versus non-speculative

	Speculative business	Non-speculative business
What it covers	**Intraday equity** — settled otherwise than by actual delivery. Defined at s.43(5).	**F&O on a recognised exchange** (carved out of s.43(5) by proviso), delivery-based trading treated as business, commodity derivatives on a recognised association subject to conditions
Set off within the year	**Only against speculative profit.** Cannot be set off against any other income, including non-speculative business income.	Against any head except salary (s.71)
Carry forward	**4 years**, and only against speculative income (s.73)	**8 years**, and only against business income (s.72)
Rate	Slab	Slab
Expenses	Deductible	Deductible
Turnover for audit	Computed as the absolute sum of settlement profits and losses	Computed per the applicable guidance — see the turnover section
ITR form	ITR-3	ITR-3
Books of account	Required under s.44AA if thresholds are crossed	Required under s.44AA if thresholds are crossed

✕ **The trap in speculative loss**

A four-year carry-forward that can *only* be used against future speculative profit is close to worthless for most people, because most people who lose money on intraday do not go on to make speculative profits in the following four years. Treat an intraday loss as a permanently sunk cost for planning purposes. See the trading risk guide for what the SEBI studies say about retail outcomes in this activity, and the derivatives guide for F&O specifically.

Capital Assets, Holding Periods and the Classification Table

Once a gain is a capital gain, two questions determine the rate: what kind of asset is it, and how long did you hold it. The **23 July 2024** changes simplified holding periods into

broadly two buckets — 12 months for listed securities and 24 months for everything else — and removed indexation for most assets. The detail still matters, because the categories are not intuitive and a few days either side of a threshold can change the tax by several percentage points.

> ⚠ **Holding periods and rates below are as at FY 2025-26 / AY 2026-27 and reflect the position after 23 July 2024. Verify current status at incometax.gov.in.**
> Transactions executed **before** 23 July 2024 may be governed by the earlier rates, holding periods and indexation rules, and specific transitional provisions apply in some cases (notably for immovable property acquired before that date). **Do not apply this table retrospectively without checking the transitional rules with a chartered accountant.**

The classification table

Asset	Short-term if held	Long-term if held	STCG treatment	LTCG treatment	In
Listed equity shares (on which STT is paid)	≤ 12 months	> 12 months	**20%** under s.111A	**12.5%** under s.112A above ₹1,25,000 aggregate exemption	N
Equity-oriented mutual fund units (STT paid on redemption)	≤ 12 months	> 12 months	**20%** under s.111A	**12.5%** under s.112A, sharing the same ₹1,25,000 exemption	N
Equity ETFs (equity-oriented)	≤ 12 months	> 12 months	20% s.111A	12.5% s.112A	N
Listed bonds and debentures	≤ 12 months	> 12 months	Slab	12.5% (specific rules apply to certain debentures — verify)	N
Specified mutual funds under s.50AA (acquired on or after 1 Apr 2023)	Deemed short-term **regardless of holding period**		**Slab rate**		N
Other (non-equity-oriented) mutual funds not caught by s.50AA	≤ 24 months	> 24 months	Slab	12.5%	N
Unlisted equity shares	≤ 24 months	> 24 months	Slab	12.5%	N 2(

Gold ETF / gold fund units	Treatment depends on the specific vehicle and whether it is caught by s.50AA or the general non-equity rules. **Verify the classification of your specific vehicle — gold ETFs and gold funds-of-funds are not always treated identically.**				N
Physical gold, jewellery	≤ 24 months	> 24 months	Slab	12.5%	N
Sovereign Gold Bonds	Specific treatment on redemption at maturity and on transfer. **Verify the current position at rbi.org.in and incometax.gov.in** — fresh issuance and the applicable provisions have both changed.				—
Listed REIT / InvIT units	≤ 12 months	> 12 months	20% (as listed securities — verify)	12.5%	N
Immovable property (land, building)	≤ 24 months	> 24 months	Slab	12.5% without indexation; for property **acquired before 23 July 2024** by a resident individual or HUF, an option to compute at **20% with indexation** and pay the lower may apply. **Verify this transitional provision carefully.**	O tr op
Foreign (unlisted-in-India) shares	≤ 24 months	> 24 months	Slab	12.5%	N
Units of funds investing overseas	Depends on the fund's equity exposure and structure, and on whether s.50AA applies. **This is one of the most commonly misclassified categories — verify your specific fund's stated treatment.**				N
Crypto / Virtual Digital Assets	**No holding-period distinction.** Flat **30%** on gain under s.115BBH, plus cess. 1% TDS under s.194S. **No set-off of losses against anything, including other VDA gains.** No deduction except cost of acquisition.				N

How to count a holding period precisely

The holding period runs from the **date of acquisition** to the **date of transfer**. For listed shares bought on an exchange, the acquisition date is generally the **trade date**, not the settlement date — but practice and documentation vary, and your broker's and registrar's statements are the primary evidence. "More than 12 months" means strictly more: an asset acquired on 10 April 2025 and sold on 10 April 2026 has been held for exactly 12 months, not more. Selling on 11 April 2026 is the safe side of the line. **When a sale is close to a threshold, check the specific dates on the contract note and consider waiting — the difference between 20% and 12.5% on a large gain can be substantial.**

TEXT

```
THE COST OF SELLING THREE DAYS EARLY

Listed equity. Purchased 14-Jun-2025.
Cost Rs 8,00,000. Current value Rs 11,00,000.
Gain Rs 3,00,000.
Assume the s.112A exemption is already fully
used elsewhere this year.

  SELL ON 12-JUN-2026 (held 363 days: SHORT)
    STCG Rs 3,00,000 at 20% s.111A
      tax            Rs 60,000
      plus cess 4%   Rs  2,400
      TOTAL          Rs 62,400

  SELL ON 16-JUN-2026 (held 367 days: LONG)
    LTCG Rs 3,00,000 at 12.5% s.112A
      tax            Rs 37,500
      plus cess 4%   Rs  1,500
      TOTAL          Rs 39,000

  SAVED BY WAITING FOUR DAYS:  Rs 23,400
  = 7.8% of the gain, for doing nothing.

THE DISCIPLINE: before ANY sale, open the
holdings tab and check the acquisition date.
Flag every lot within 45 days of crossing
the threshold. This single habit is worth
more than most research.

THE COUNTER-CASE: if you genuinely believe the
position should be exited, Rs 23,400 of tax is
not a reason to carry four more days of market
risk on Rs 11,00,000. A 3% adverse move costs
Rs 33,000. Tax is a constraint, not a reason to
hold a position you want out of.

Rates as at FY 2025-26. VERIFY.
```

What is and is not a "transfer"

Event	Is it a transfer triggering capital gains?
Sale on an exchange	Yes
Off-market sale	Yes
Redemption of mutual fund units	Yes
Switch between two schemes or between regular and direct plans	**Yes** — a switch is a redemption plus a fresh purchase. This surprises people constantly.
Switch between growth and dividend (IDCW) option of the same scheme	Yes, generally treated as a transfer — verify
Transfer between your own demat accounts	No, if beneficial ownership is unchanged — but document it, as depositories and the AIS may report it
Gift to a relative as defined in the Act	Generally not a transfer for the giver and not income for a qualifying relative recipient; the recipient inherits the cost and the holding period. **Verify the definition of "relative" and the clubbing provisions — gifts to a spouse attract clubbing under s.64.**
Gift to a non-relative	May be taxable in the recipient's hands under s.56(2)(x) above a threshold. Verify.
Inheritance / transmission on death	Not a transfer. The heir inherits the original cost and the original holding period under s.49(1) and Explanation 1 to s.2(42A).
Bonus issue	Not a transfer. Cost of the bonus shares is **nil**; holding period runs from the bonus allotment date.
Stock split / consolidation	Not a transfer. Cost is apportioned; the original holding period continues.
Rights issue — subscribing	Not a transfer. Cost is what you paid; holding period from allotment.
Rights entitlement — selling it	**Yes, a transfer.** Cost of the renounced entitlement is generally taken as nil for the renouncer. Verify.

Demerger meeting the conditions of s.2(19AA)	Not a transfer for the shareholder. Cost is apportioned between the original and resulting company per s.49(2C)/(2D); the original holding period carries over.
Amalgamation meeting the conditions	Generally not a transfer for the shareholder, subject to conditions. Verify.
Buyback by a listed company	Treatment changed with effect from **1 October 2024** — see the buyback section. **Verify current status.**
Conversion of debentures into shares	Not a transfer under s.47; cost and holding period carry across with specific rules
Pledging shares as collateral	No
Lending shares under a securities lending scheme	Generally not a transfer under s.47 if the scheme conditions are met. Verify.

✕ **The switch trap, in rupees**
Moving ₹20,00,000 (2,000,000 rupees) from a regular plan to a direct plan of the same scheme to save 1% a year in expense ratio is a **redemption and a fresh purchase**. If the holding has an embedded long-term gain of ₹7,00,000, the switch triggers approximately ₹71,875 of tax at 12.5% after the ₹1.25 lakh exemption, plus cess. Recovering that at 1% a year on ₹20,00,000 takes between three and four years — and the new holding restarts its holding-period clock. The switch may still be right; the point is that it must be computed, not assumed. **Doing it in tranches across financial years, using the exemption each year, is usually the cheaper route.** Verify the current rates and exemption.

The Rate Matrix After 23 July 2024, with Worked Computations

The Finance (No. 2) Act 2024 rewrote capital gains taxation with effect from 23 July 2024. The direction was toward uniformity: two holding periods, two headline rates, indexation largely gone. The effect on any individual investor depends entirely on which assets they hold, and for some assets the change was a meaningful increase.

⚠ **Rates as at FY 2025-26 / AY 2026-27 — verify at incometax.gov.in**

All rates below are **exclusive of surcharge and the 4% health and education cess**, both of which apply on top. Surcharge rates depend on total income and are capped at 15% for certain capital gains. **Verify the current surcharge structure, which differs between the old and new regimes.** Transactions before 23 July 2024 may attract the earlier rates. **Verify current status.**

The full rate matrix

Asset	Short-term rate	Section	Long-term rate	Section	
Listed equity shares, STT paid	20%	111A	12.5%	112A	
Equity-oriented MF units	20%	111A	12.5%	112A	
Equity ETF (equity-oriented)	20%	111A	12.5%	112A	
Listed equity shares, STT **not** paid (e.g. off-market)	Slab	—	12.5%	112	
Unlisted shares	Slab	—	12.5%	112	
Specified mutual funds (s.50AA)	Slab, always	50AA	N/A	—	
Other non-equity MF units	Slab	—	12.5%	112	
Listed bonds/debentures	Slab	—	12.5%	112	
Physical gold, jewellery	Slab	—	12.5%	112	
Immovable property	Slab	—	12.5% (transitional 20%-with-indexation option may apply for pre-23-Jul-2024 acquisitions)	112	
Foreign shares	Slab	—	12.5%	112	

Listed REIT/InvIT units	20%	111A (verify)	12.5%	112A (verify)	
Crypto / VDA	30% flat under s.115BBH, no holding-period distinction		30% flat		

Worked computation 1 — listed equity, short-term

TEXT

```
LISTED EQUITY, SHORT-TERM (s.111A)
FY 2025-26. VERIFY RATES.

Purchase 12-Aug-2025
  Quantity                          800
  Price per share             Rs 462.50
  Gross consideration         Rs 3,70,000
  Brokerage (say 0.03%)       Rs    111
  STT on purchase (delivery, 0.1%)
                              Rs    370
  Exchange transaction charges
                              Rs     12
  SEBI turnover fee           Rs      4
  Stamp duty (0.015% on buy) Rs     56
  GST at 18% on (brokerage +
    exchange charges + SEBI fee)
                              Rs     23
  TOTAL OUTLAY                Rs 3,70,576

Sale 03-Feb-2026 (held 175 days: SHORT-TERM)
  Quantity                          800
  Price per share             Rs 548.75
  Gross consideration         Rs 4,39,000
  Brokerage                   Rs    132
  STT on sale (delivery, 0.1%)
                              Rs    439
  Exchange transaction charges
                              Rs     15
  SEBI turnover fee           Rs      4
  GST at 18%                  Rs     27
  NET RECEIPT                 Rs 4,38,383

CAPITAL GAINS COMPUTATION
  Full value of consideration    Rs 4,39,000
  Less: expenditure wholly and exclusively
    in connection with the transfer
    (brokerage, exchange charges, SEBI fee,
     GST thereon - but NOT STT, which is
     specifically disallowed where the gain
     is charged under s.111A)
                                 Rs     178
  Net consideration              Rs 4,38,822
  Less: cost of acquisition
    (purchase price + purchase-side
     brokerage and charges, excluding STT)
                                 Rs 3,70,206
  SHORT-TERM CAPITAL GAIN        Rs   68,616
```

```
TAX
  STCG at 20% u/s 111A           Rs 13,723
  Health and education cess 4%   Rs    549
  TOTAL TAX                      Rs 14,272

  Effective rate on the gain          20.8%
  Net gain after tax             Rs 54,344
  Net gain after tax AND all
    transaction costs            Rs 53,535
    on an outlay of Rs 3,70,576  = 14.4%
    over 175 days

NOTE ON STT: STT is not allowed as a deduction
in computing capital gains charged under
s.111A/112A. It IS allowable as a business
expense if the activity is taxed as business
income. VERIFY the current position.
```

Worked computation 2 — listed equity, long-term, with the exemption

TEXT

```
LISTED EQUITY, LONG-TERM (s.112A)
FY 2025-26. VERIFY RATES AND EXEMPTION.

Three separate holdings sold during FY 2025-26,
all held more than 12 months, all STT-paid.

  Holding A
    Cost (incl. charges)       Rs  4,20,000
    Net consideration          Rs  7,95,000
    LTCG                       Rs  3,75,000

  Holding B
    Cost                       Rs  2,60,000
    Net consideration          Rs  3,10,000
    LTCG                       Rs    50,000

  Holding C
    Cost                       Rs  6,00,000
    Net consideration          Rs  5,15,000
    LTCL (loss)                Rs   -85,000

  Also during the year, an equity MF redemption
  held 19 months:
    Cost                       Rs  3,00,000
    Net consideration          Rs  3,95,000
    LTCG                       Rs    95,000

AGGREGATION
  Total LTCG under s.112A
    = 3,75,000 + 50,000 + 95,000
    = Rs 5,20,000
  Less long-term capital LOSS set off against
    long-term capital gain (s.70(3))
    = Rs 85,000
  Net LTCG                     Rs 4,35,000

APPLY THE s.112A EXEMPTION
  The exemption of Rs 1,25,000 applies to the
  AGGREGATE of s.112A gains for the year, not
  per transaction and not per scrip.
  Net LTCG                     Rs 4,35,000
  Less exemption               Rs 1,25,000
  TAXABLE LTCG                 Rs 3,10,000

TAX
  LTCG at 12.5%                Rs   38,750
  Cess 4%                      Rs    1,550
  TOTAL                        Rs   40,300
```

```
  Effective rate on the Rs 4,35,000 of
  economic gain:                    9.3%
  (lower than 12.5% because of the exemption)

IMPORTANT ORDERING POINT: the Rs 85,000
long-term LOSS was set off BEFORE the exemption
was applied. An alternative reading - using the
exemption first and carrying the loss forward -
is not how s.70 and s.112A interact. Set-off
comes first. VERIFY with a chartered accountant,
as the interaction of set-off ordering with the
exemption has been the subject of differing
views and the portal's utility encodes a
specific treatment.
```

Worked computation 3 — specified debt fund under s.50AA

TEXT

```
SPECIFIED MUTUAL FUND (s.50AA)
Units acquired AFTER 1 April 2023.
FY 2025-26. VERIFY DEFINITION AND RATES.

Purchase 18-Jul-2023
  Amount invested            Rs 10,00,000
  Stamp duty 0.005% on
    purchase of units        Rs       50
  Units allotted at NAV 24.1850
                               41,347.11

Redemption 20-Feb-2026 (held 31 months)
  NAV                            28.9420
  Gross redemption value     Rs 11,96,668
  Exit load (nil after the
    stated period)           Rs        0
  STT: not applicable to a non-equity-
    oriented scheme
  NET RECEIPT                Rs 11,96,668

COMPUTATION
  Gain = 11,96,668 - 10,00,050
       = Rs 1,96,618

  Held 31 months, which under the OLD rules
  would have been long-term with indexation.
  Under s.50AA, because the units are of a
  SPECIFIED MUTUAL FUND acquired on or after
  1 April 2023, the gain is DEEMED SHORT-TERM
  REGARDLESS OF HOLDING PERIOD.

TAX at the investor's slab rate, 30% bracket
  Tax                        Rs    58,985
  Cess 4%                    Rs     2,359
  TOTAL                      Rs    61,344
  Effective rate                    31.2%
  Post-tax gain              Rs  1,35,274
  Post-tax annualised return on
    Rs 10,00,050 over 31 months     5.0%

COMPARE: the same Rs 10,00,000 in a bank FD
at 7.0% for 31 months
  Interest earned (compounded quarterly,
    approximately)           Rs  1,99,000
  Taxed at slab EVERY YEAR on accrual, so the
  compounding base is lower each year.
  Approximate post-tax value after 31 months
    at an effective 4.9% post-tax rate
```

```
                              Rs 11,32,000

  The debt fund's remaining advantage is
  DEFERRAL — tax paid once at redemption
  rather than annually on accrual — plus
  explicit duration control. The rate
  advantage is gone.

VERIFY: the definition of "specified mutual
fund" in s.50AA has been AMENDED since
introduction, and the treatment of units
acquired BEFORE 1 April 2023 differs. Confirm
your specific scheme's classification with the
AMC and a chartered accountant.
```

Worked computation 4 — gold and immovable property

TEXT

```
PHYSICAL GOLD, LONG-TERM
FY 2025-26. VERIFY.

Purchased  March 2021   cost Rs  6,80,000
Sold       January 2026 net  Rs 11,40,000
Held 58 months: LONG-TERM (threshold 24
months for this asset class)

Post-23-July-2024, indexation is NOT available
for this asset.

  Full value of consideration   Rs 11,40,000
  Less: cost of acquisition     Rs  6,80,000
  Less: expenditure on transfer
    (assay, dealer charges)     Rs      9,000
  LTCG                          Rs  4,51,000
  Tax at 12.5%                  Rs    56,375
  Cess 4%                       Rs     2,255
  TOTAL                         Rs    58,630

  For comparison, under the pre-23-July-2024
  regime the computation would have used
  indexed cost at 20%. Whether the old or new
  basis is more favourable depends on the
  inflation over the holding period: a long
  holding in a high-inflation period was often
  better off with indexation at 20%; a shorter
  holding is generally better off at 12.5%
  without it.
  THE TRANSITIONAL OPTION (20% with indexation
  vs 12.5% without) applies ONLY to immovable
  property acquired before 23 July 2024 by a
  resident individual or HUF - NOT to gold.
  VERIFY this carefully, as it is widely
  misreported.

_____________________________________________
IMMOVABLE PROPERTY, LONG-TERM, PRE-23-JUL-2024
ACQUISITION - the transitional option

Purchased  June 2016   cost  Rs 48,00,000
Stamp duty and registration  Rs  2,90,000
Improvement (documented)     Rs  4,10,000
Total cost                   Rs 55,00,000
Sold       August 2025  gross Rs 1,12,00,000
Brokerage on sale 1%         Rs  1,12,000
Net consideration            Rs 1,10,88,000
Held 110 months: LONG-TERM
```

```
OPTION 1 – new basis: 12.5% WITHOUT indexation
  Net consideration          Rs 1,10,88,000
  Less: cost                 Rs   55,00,000
  LTCG                       Rs   55,88,000
  Tax at 12.5%               Rs    6,98,500
  Cess 4%                    Rs       27,940
  TOTAL                      Rs    7,26,440

OPTION 2 – old basis: 20% WITH indexation
  Assume a cost inflation index ratio over the
  holding period of 1.55 (ILLUSTRATIVE – use
  the ACTUAL notified CII values for the year
  of acquisition and the year of transfer,
  published by CBDT).
  Indexed cost = 55,00,000 x 1.55
               = Rs 85,25,000
  Net consideration          Rs 1,10,88,000
  Less: indexed cost         Rs   85,25,000
  LTCG                       Rs   25,63,000
  Tax at 20%                 Rs    5,12,600
  Cess 4%                    Rs       20,504
  TOTAL                      Rs    5,33,104

OPTION 2 IS CHEAPER BY Rs 1,93,336.

THE TRANSITIONAL RULE (verify precisely): for
land or building acquired BEFORE 23 July 2024
by a resident individual or HUF, tax is
computed under both methods and the LOWER is
payable, with specific conditions – notably
that the benefit is limited to the tax amount
and does not create or increase a loss under
the indexed method.

ALSO CONSIDER, before paying any of it:
  s.54  – reinvestment in a residential house
  s.54F – reinvestment of net consideration
          from a non-house asset into a house
  s.54EC – investment in specified bonds within
           6 months, subject to a cap
Each has strict conditions, time limits and
caps. VERIFY current conditions and limits, and
take professional advice – these provisions are
heavily litigated.

CII values, rates, the transitional option and
```

```
the reinvestment exemptions are all as at
FY 2025-26 / AY 2026-27. VERIFY.
```

The Section 112A Exemption, Grandfathering, and Tax-Gain Harvesting

Three related mechanics govern long-term equity taxation in India: an annual exemption that resets every financial year and is lost if unused; a grandfathering rule that protects gains accrued up to 31 January 2018; and a harvesting technique that converts the annual exemption into a recurring, compounding tax saving. All three are simple, all three are widely misunderstood, and all three are worth real money.

The exemption — precise mechanics

- ☐ The exemption is **₹1,25,000 (125,000 rupees) per financial year as at FY 2025-26**, raised from ₹1,00,000 with effect from 23 July 2024. **Verify the current figure.**
- ☐ It applies to the **aggregate** of long-term capital gains chargeable under s.112A — listed equity shares and equity-oriented mutual fund units together. It is not per scrip, not per scheme, not per demat account, not per folio.
- ☐ It applies **per person**. A spouse with independent income and their own investments has their own exemption. **But note s.64 clubbing** — income from assets gifted to a spouse is clubbed back with the giver. Gifting money to a spouse to use their exemption generally does not work for this reason. **Verify and take advice.**
- ☐ It is **use-it-or-lose-it**. Unused exemption does not carry forward.
- ☐ It applies **after** setting off capital losses, not before.
- ☐ It does **not** apply to short-term gains under s.111A, to debt fund gains, to gold, to property, to unlisted shares or to foreign shares.
- ☐ Scrip-wise details of s.112A gains must be reported in the return — see the ITR schedules section.

TEXT

```
WHAT THE EXEMPTION IS WORTH OVER A LIFETIME

Fully using Rs 1,25,000 of exemption each year
at a 12.5% rate saves:
  Rs 1,25,000 x 12.5% = Rs 15,625 of tax
  plus 4% cess         = Rs    625
  TOTAL per year       = Rs 16,250

Over 25 years, undiscounted: Rs 4,06,250.
Reinvested at 10% as it is saved, the terminal
value of those savings is approximately
Rs 17,95,000.

Rs 17.95 lakh for doing one transaction a year.

THE CATCH: harvesting is not free. Each harvest
round-trip costs brokerage, STT on both legs,
exchange charges, SEBI fee, stamp duty on the
buy leg and GST. On a Rs 5,00,000 round trip
with delivery equity, the all-in cost is
typically in the Rs 1,100-1,600 range (see the
cost stack section). Against a Rs 16,250 saving
that is comfortably worthwhile - but it is not
nothing, and it is why harvesting a trivial
amount of gain is pointless.

AND: you are out of the market for the gap
between sale and repurchase, which for a
same-day or next-day repurchase is small but
not zero. A 1% adverse move on Rs 5,00,000 is
Rs 5,000 - more than a third of the saving.
Minimise the gap.
```

Tax-gain harvesting, worked across a year

TEXT

TAX-GAIN HARVESTING - FULL WORKED EXAMPLE
FY 2025-26. VERIFY RATES AND EXEMPTION.

PORTFOLIO as at 1 March 2026 (equity sleeve)

Lot	Purchased	Cost	Value	Gain	Age
1	Mar-2020	2,00,000	6,40,000	4,40,000	LT
2	Nov-2021	3,50,000	5,05,000	1,55,000	LT
3	Jun-2023	4,00,000	4,62,000	62,000	LT
4	Aug-2024	2,80,000	3,01,000	21,000	LT
5	Dec-2025	1,90,000	1,78,000	-12,000	ST

Gains already realised in FY 2025-26: NIL.
Exemption available: Rs 1,25,000.

OBJECTIVE: realise approximately Rs 1,25,000 of LONG-TERM gain, pay zero tax on it, and immediately repurchase so the allocation is unchanged - thereby RESETTING THE COST BASIS upward for free.

STEP 1 - choose the lot
  Lot 3 has Rs 62,000 of gain on Rs 4,62,000 of value: a gain ratio of 13.4%.
  Lot 1 has Rs 4,40,000 of gain on Rs 6,40,000: a gain ratio of 68.8%.

  To realise Rs 1,25,000 of gain:
    from Lot 1, sell Rs 1,25,000/0.688
                    = Rs 1,81,686 of value
    from Lot 3, sell Rs 1,25,000/0.134
                    = Rs 9,32,836 of value
                    (more than the lot holds)

  PREFER THE HIGH-GAIN-RATIO LOT. It achieves the target with the smallest transaction, and therefore the smallest cost and the smallest out-of-market exposure.
  SELL Rs 1,81,700 of Lot 1.

STEP 2 - execute
  02-Mar-2026 SELL Rs 1,81,700 of Lot 1
    realised LTCG   Rs 1,25,010
  02-Mar-2026 BUY   Rs 1,81,700 of the same
    exposure (same day, or next day)
    NEW COST BASIS   Rs 1,81,700
    on units previously carried at
                             Rs   56,690

```
  Transaction costs, delivery equity, both legs
  on Rs 1,81,700:
    brokerage (flat or 0.03%)       Rs   110
    STT sell 0.1%                   Rs   182
    STT buy 0.1%                    Rs   182
    exchange charges both legs      Rs    12
    SEBI turnover fee               Rs     4
    stamp duty 0.015% buy leg       Rs    27
    GST 18% on brokerage+charges    Rs    22
    TOTAL COST                      Rs   539

STEP 3 - the tax outcome
  Realised LTCG FY 2025-26     Rs 1,25,010
  Less s.112A exemption        Rs 1,25,000
  Taxable LTCG                 Rs      10
  Tax (12.5% + cess)           Rs       1
  TRANSACTION COST             Rs     539
  NET COST OF THE HARVEST      Rs     540

STEP 4 - the benefit
  Cost basis on those units rose from
    Rs 56,690 to Rs 1,81,700
  = Rs 1,25,010 of gain PERMANENTLY REMOVED
    from future taxation
  Future tax avoided at 12.5% + cess
                               Rs  16,251
  NET BENEFIT                  Rs  15,711

STEP 5 - also consider LOSS harvesting
  Lot 5 carries an unrealised SHORT-TERM loss of
  Rs 12,000.
  Realising it creates a short-term capital loss
  which under s.70 can be set off against BOTH
  short-term and long-term capital gains.
  BUT: here it would be set off against the
  Rs 1,25,010 of LTCG, REDUCING the gain below
  the exemption and WASTING both the loss and
  part of the exemption.

  CORRECT SEQUENCING:
   - If you have gains ABOVE the exemption,
     harvest losses to offset the excess.
   - If your gains are AT or BELOW the
     exemption, do NOT harvest losses in the
     same year; carry the loss-bearing position
     into the next financial year instead, or
     harvest MORE gain first so there is excess
     for the loss to absorb.
```

```
  This sequencing error is extremely common.

STEP 6 – timing
  DO NOT DO THIS ON 30 OR 31 MARCH.
  Indian equity settles on a T+1 basis, and the
  relevant date for capital gains is generally
  the TRADE date – but relying on that at the
  very edge of the financial year is
  unnecessary risk. Execute in the FIRST half
  of March. Confirm settlement cut-offs with
  your broker.

PRACTICAL NOTES
  – Mutual fund redemptions are generally FIFO
    WITHIN A FOLIO. To target a specific lot,
    you may need separate folios per tranche.
    Plan this when you START investing.
  – India has no explicit statutory wash-sale
    rule for this purpose, but a transaction
    with no commercial substance can be
    challenged under general anti-avoidance
    principles. VERIFY the current position and
    take professional advice before building a
    systematic programme around it.
  – Keep contract notes. The AIS will show both
    legs and you must be able to explain them.
```

✦ **The sequencing rule in one line**

Harvest gains up to the exemption. Harvest losses only against gains that exceed the exemption. Doing both blindly in the same year wastes one of them. Compute your realised position in early February, then decide.

Grandfathering of pre-31-January-2018 equity gains

Long-term capital gains on listed equity were exempt until 31 March 2018. When s.112A introduced the charge, Parliament protected gains accrued up to **31 January 2018** by deeming a higher cost of acquisition. The rule is in the proviso to s.55(2)(ac) and it is more subtle than most summaries suggest.

TEXT

```
GRANDFATHERING - THE RULE AND A WORKED EXAMPLE
Applies to listed equity shares and equity-
oriented MF units ACQUIRED BEFORE 1 FEB 2018.
VERIFY current provisions.

THE DEEMED COST OF ACQUISITION IS:

  HIGHER OF
    (a) actual cost of acquisition
    (b) LOWER OF
         (i)  the fair market value as on
              31 January 2018
              - for listed shares: the HIGHEST
                quoted price on a recognised
                exchange on 31-Jan-2018
                (or the last trading day before
                it if there was no trading)
              - for MF units: the NAV on
                31-Jan-2018
         (ii) the full value of consideration
              received on transfer

Note the nested structure. The (b)(ii) limb
prevents grandfathering from creating an
ARTIFICIAL LOSS when the asset later falls
below its 31-Jan-2018 value.

_____________________________________________

CASE 1 - the ordinary case
  Purchased        Jun-2014   Rs  2,00,000
  FMV 31-Jan-2018             Rs  5,60,000
  Sold             Sep-2025   Rs 11,20,000

  (b) = lower of (5,60,000 ; 11,20,000)
      = Rs 5,60,000
  Deemed cost = higher of (2,00,000 ; 5,60,000)
              = Rs 5,60,000

  LTCG = 11,20,000 - 5,60,000 = Rs 5,60,000
  (The Rs 3,60,000 of gain accrued up to
   31-Jan-2018 is protected.)

  Without grandfathering the gain would have
  been Rs 9,20,000.
  Tax saved at 12.5% = Rs 45,000 + cess.

_____________________________________________

CASE 2 - the asset fell after 31-Jan-2018
```

```
  Purchased        Jun-2014   Rs  2,00,000
  FMV 31-Jan-2018             Rs  5,60,000
  Sold             Sep-2025   Rs  4,10,000

  (b) = lower of (5,60,000 ; 4,10,000)
      = Rs 4,10,000
  Deemed cost = higher of (2,00,000 ; 4,10,000)
              = Rs 4,10,000

  LTCG = 4,10,000 - 4,10,000 = Rs 0

  NOT a loss of Rs 1,50,000. The (b)(ii) limb
  caps the deemed cost at the sale price, so
  grandfathering can reduce a gain to nil but
  cannot manufacture a loss.

_____________________________________________

CASE 3 - the asset fell below the ORIGINAL cost
  Purchased        Jun-2014   Rs  6,00,000
  FMV 31-Jan-2018             Rs  5,60,000
  Sold             Sep-2025   Rs  4,10,000

  (b) = lower of (5,60,000 ; 4,10,000)
      = Rs 4,10,000
  Deemed cost = higher of (6,00,000 ; 4,10,000)
              = Rs 6,00,000   (the ACTUAL COST)

  LTCL = 4,10,000 - 6,00,000 = Rs -1,90,000
  A genuine long-term capital LOSS of
  Rs 1,90,000, available for set-off against
  LTCG and carry-forward for 8 years.

_____________________________________________

CASE 4 - bonus shares issued before 1-Feb-2018
  Original purchase Jun-2014  Rs  2,00,000
  1:1 bonus issued  Mar-2016  cost Rs 0
  FMV 31-Jan-2018 of the BONUS shares
                              Rs  2,80,000
  Bonus shares sold Sep-2025  Rs  5,60,000

  The bonus shares have an actual cost of NIL,
  but they WERE acquired before 1 Feb 2018, so
  grandfathering applies to them too.
  (b) = lower of (2,80,000 ; 5,60,000)
      = Rs 2,80,000
  Deemed cost = higher of (0 ; 2,80,000)
              = Rs 2,80,000
  LTCG on the bonus shares = Rs 2,80,000
  rather than Rs 5,60,000.
```

```
  Bonus shares issued ON OR AFTER 1 Feb 2018
  get NO grandfathering - their cost is nil.

_____________________________________________

WHERE TO GET THE 31-JAN-2018 FMV
  - For listed shares: the highest quoted price
    on 31-Jan-2018 on a recognised stock
    exchange. Both NSE and BSE have published
    bhavcopy and historical data for that date;
    most brokers' tax statements and the
    registrars' capital gains statements apply
    grandfathering automatically.
  - For MF units: the NAV on 31-Jan-2018, which
    AMFI and the AMCs published.
  - ALWAYS verify what your broker's or
    registrar's statement has applied. Errors
    here are common, particularly where there
    have been corporate actions between 2018
    and the sale date.

VERIFY the current statutory text of
s.55(2)(ac) and whether the Income-tax Act 2025
carries it forward unchanged.
```

Specified Debt Mutual Funds Under Section 50AA

The single largest structural change to Indian retail investing in recent years was not a rate change on equity — it was the removal of long-term treatment from debt mutual funds. It altered the relative merits of every fixed-income option available to a salaried investor, and the provision has itself been amended since introduction.

> ⚠ **As at FY 2025-26 / AY 2026-27 — verify current status, this provision has changed more than once**
>
> Section 50AA was introduced by the Finance Act 2023 with effect from 1 April 2023 and the definition of "specified mutual fund" was subsequently **amended** by the Finance (No. 2) Act 2024. The treatment of units acquired *before* 1 April 2023 differs from those acquired on or after. **Confirm the current definition and your specific scheme's classification with the AMC and a chartered accountant before computing anything.**

The rule, stated carefully

Element	Position as at FY 2025-26 (verify)
What it catches	Units of a "specified mutual fund" and certain market-linked debentures, acquired on or after 1 April 2023
Effect	Any gain is **deemed to be a short-term capital gain**, irrespective of how long the units were held
Rate	**Slab** rate applicable to the taxpayer, plus surcharge and cess
Indexation	Not available
Set-off	As a short-term capital loss if negative — which, usefully, can be set off against **both** STCG and LTCG
Units acquired before 1 Apr 2023	Governed by the rules applicable at the time, with the holding-period threshold and treatment as then applicable. **Verify — the pre-2023 units are not automatically caught.**
What is NOT caught	Equity-oriented funds; and, depending on the current definition, funds with certain minimum equity or domestic-equity-fund exposure. **The thresholds in the definition are exactly what was amended — verify.**

What it changed in practice

Decision	Position before 1 Apr 2023	Position now (verify)
Debt fund held 3+ years vs FD	Debt fund materially better — 20% with indexation often produced a single-digit or near-zero effective rate in an inflationary period	Both at slab. The debt fund's edge is now **deferral of tax to redemption** plus duration control, not a lower rate.
Where to hold long-horizon fixed income	Debt funds, comfortably	A genuine contest between debt funds, FDs, PPF (where the lock-in suits), EPF and small savings schemes. Compute per case.
Arbitrage funds	Equity-oriented treatment made them attractive for short-horizon money	Unchanged in principle — they remain equity-oriented if they meet the thresholds — but **verify the current definition and the fund's stated classification**
Target-maturity debt funds for goal matching	Strong case on tax plus duration certainty	Duration certainty case survives intact; tax case is neutral
Hybrid funds	Varied by equity share	Still varies by equity share; the thresholds are what determine treatment. **Check each scheme's own disclosure.**

The deferral advantage is real but smaller than people assume
An FD taxes interest annually on accrual, so the amount compounding is the post-tax amount from year one. A debt fund defers tax to redemption, so the pre-tax amount compounds throughout. Over 10 years at 7% gross and a 30% marginal rate, deferral is worth roughly 0.4–0.7 percentage points a year of effective return — meaningful but not transformative, and smaller than the pre-2023 indexation benefit was. **Note also that FD interest is taxed on accrual even if you have not received it**, which creates a cash-flow problem on cumulative deposits that debt funds do not have.

Dividends, TDS and Foreign Dividend Income

Dividend taxation in India was turned upside down in 2020. The Dividend Distribution Tax paid by companies was abolished and the charge moved to the shareholder, taxable at slab rates under "income from other sources." For a 30%-bracket investor this made dividends a materially worse way to receive returns than capital appreciation, and it quietly changed the relative merits of dividend-paying strategies.

Domestic dividends — the current position

Element	Position as at FY 2025-26 (verify)
Head of income	Income from other sources
Rate	**Slab rate** applicable to the taxpayer, plus surcharge and 4% cess
TDS on dividend from a domestic company	Under **s.194**, at the prescribed rate, where the aggregate dividend to a resident individual in a financial year exceeds the stated threshold. **The threshold was revised — verify the current figure and rate at incometax.gov.in.**
TDS on income distribution from a mutual fund	Under **s.194K** on income distribution (IDCW), above a threshold. Note that **capital gains on redemption are not covered by s.194K** for residents. Verify.
Avoiding TDS where income is below the taxable limit	Form 15G (under 60) or Form 15H (senior citizen) may be submitted where the conditions are met. **Submitting these falsely has penal consequences.**
Deduction allowed	Interest expense incurred to earn the dividend, capped at **20% of the dividend income** under s.57(i) proviso. No other expenses. Verify.
Where it appears in the return	Schedule OS, with quarterly break-up required for advance-tax interest computation

TEXT

```
WHY DIVIDENDS ARE A WORSE WAY TO BE PAID
FY 2025-26, 30% bracket. VERIFY RATES.

Suppose two ways of receiving Rs 1,00,000 of
economic return from listed equity.

ROUTE A - the company pays a Rs 1,00,000
dividend
  Taxable as income from other sources
  Tax at 30%                  Rs 30,000
  Cess 4%                     Rs  1,200
  TOTAL TAX                   Rs 31,200
  NET                         Rs 68,800
  (TDS under s.194 would have been deducted
   at source and is claimed as a credit.)

ROUTE B - the company retains the money, the
share price is Rs 1,00,000 higher, and you sell
after holding more than 12 months
  LTCG Rs 1,00,000
  If within the Rs 1,25,000 exemption:
    TOTAL TAX                 Rs      0
    NET                       Rs 1,00,000
  If above the exemption:
    Tax at 12.5%              Rs  12,500
    Cess 4%                   Rs     500
    TOTAL TAX                 Rs  13,000
    NET                       Rs  87,000

DIFFERENCE: Rs 18,200 to Rs 31,200 on the same
Rs 1,00,000 of economic return, purely because
of the FORM in which it arrived.

IMPLICATIONS
  - A high-dividend strategy is tax-inefficient
    for a high-bracket resident investor. It may
    still be right for other reasons (cash flow
    need, the discipline of a payout, the
    signalling value), but the tax cost is real
    and should be acknowledged rather than
    ignored.
  - The IDCW (dividend) option of a mutual fund
    is, for the same reason, generally less
    efficient than the growth option for an
    investor who does not need the cash flow.
    The growth option defers everything to
    redemption and then taxes it as a capital
    gain.
```

```
  - Dividends are taxable in the year they are
    DECLARED/paid, with no choice of timing.
    Capital gains are taxable when YOU choose to
    sell. Control over timing is itself worth
    something.
```

⚠ **Dividend received in the "record date" window**
A dividend is taxable in the hands of whoever is the registered shareholder on the record date. Buying a share just before the record date to "capture" the dividend converts a price decline (the ex-dividend drop) into taxable dividend income — a strictly worse outcome for a high-bracket taxpayer. There is no free dividend. **Also note:** there are specific anti-avoidance provisions dealing with dividend stripping and bonus stripping (historically s.94(7) and s.94(8)) which disallow losses created around record dates. **Verify the current provisions before any transaction timed around a record date.**

Foreign dividends and DTAA relief

Element	Position (verify)
Taxability in India	A resident and ordinarily resident is taxed on **global income**. Foreign dividends are taxable in India under "income from other sources" at slab rates.
Withholding abroad	The source country typically withholds tax. For US-listed shares held by an Indian resident, the withholding rate on dividends under the India–US DTAA is commonly stated as **25%** where the applicable form (W-8BEN) has been filed; without it, a higher statutory rate may apply. **Verify the current treaty rate and your broker's actual withholding.**
Relief in India	Foreign tax credit under **s.90/91 read with Rule 128**, subject to filing **Form 67** on or before the applicable due date. **Missing Form 67 can cost you the entire credit — verify the current filing deadline.**
Credit limit	The credit is generally limited to the lower of the foreign tax paid and the Indian tax attributable to that income. You cannot get a refund of excess foreign tax from India.
Currency conversion	Per Rule 115 / Rule 128, using the prescribed reference rate on the prescribed date. Get this right — it is a common error.
Disclosure	**Schedule FA** in the return, mandatory for foreign assets and foreign income. See the foreign investing section — omission has consequences disproportionate to the amount.

TEXT

```
FOREIGN DIVIDEND WITH DTAA CREDIT - WORKED
FY 2025-26. ILLUSTRATIVE. VERIFY.

Indian resident holds foreign listed shares
through an LRS brokerage account.

Dividend declared              USD 1,200
Withholding at source (25%)    USD   300
Net received                   USD   900

Conversion: use the prescribed reference rate
on the prescribed date per Rule 128. Assume
Rs 86.40 per USD for illustration.

  Gross dividend in INR
    1,200 x 86.40          =  Rs 1,03,680
  Foreign tax paid in INR
      300 x 86.40          =  Rs   25,920
  Net received in INR
      900 x 86.40          =  Rs   77,760

INDIAN TAX COMPUTATION
  Gross dividend added to total income
                             Rs 1,03,680
  Indian tax on it at 30%    Rs   31,104
  Plus cess 4%               Rs    1,244
  Indian tax attributable    Rs   32,348

  Foreign tax credit allowed
    = LOWER OF
       foreign tax paid      Rs 25,920
       Indian tax on that
       income                Rs 32,348
    = Rs 25,920

  NET INDIAN TAX PAYABLE
    = 32,348 - 25,920        Rs    6,428

  TOTAL TAX BORNE
    = 25,920 + 6,428         Rs   32,348
    = 31.2% of the gross dividend

COMPLIANCE REQUIRED
  1. File FORM 67 with the required details
     on or before the applicable deadline.
     Without it, the Rs 25,920 credit may be
     DENIED, raising the total tax borne to
     Rs 58,268 - an effective 56%.
```

```
   2. Disclose the foreign shares and the
      dividend in SCHEDULE FA of the return.
   3. Keep the broker's tax statement (e.g. the
      year-end statement showing withholding)
      as evidence.

VERIFY the current DTAA rate, the Form 67
deadline, Rule 128 mechanics and the Schedule FA
requirements. This is an illustration of method,
not advice. Foreign income is an area where a
chartered accountant is not optional.
```

Buyback Taxation After October 2024

Share buybacks were, until recently, a tax-efficient way for a company to return cash: the company paid a buyback distribution tax and the receipt was exempt in the shareholder's hands. That changed with effect from **1 October 2024**, and the new treatment is materially worse for most shareholders. This is one of the changes most likely to catch an investor out, because it reverses the intuition.

> ⚠ **Effective 1 October 2024 — verify current status at incometax.gov.in**
> The Finance (No. 2) Act 2024 shifted the incidence of buyback taxation from the company to the shareholder with effect from **1 October 2024**. **Buybacks completed before that date are governed by the earlier regime.** The provisions involved include s.2(22), s.46A, s.57 and s.115QA. **The mechanics below are a summary as at FY 2025-26 and must be verified — this is a recent and consequential change, and the detailed treatment of the cost of acquisition has been the subject of considerable professional commentary.**

Before and after

	Buyback completed before 1 Oct 2024	Buyback on or after 1 Oct 2024 (verify)
Who pays	The company, under s.115QA	**The shareholder**
Character in the shareholder's hands	Exempt under s.10(34A)	The **entire buyback consideration** is treated as a **deemed dividend** under s.2(22)(f), taxable as income from other sources at **slab rates**
Cost of the shares tendered	Irrelevant — receipt was exempt	Treated as giving rise to a **capital loss**, available for set-off and carry-forward under the normal capital-loss rules. **No deduction of cost against the deemed dividend.**
TDS	Not applicable to the shareholder	TDS applies on the deemed dividend under the dividend TDS provisions. Verify the rate and threshold.
Net effect on a 30%-bracket shareholder	Tax-free receipt	Full consideration taxed at slab, with the cost relief arriving only as a capital loss that may take years to use

TEXT

```
BUYBACK UNDER THE POST-1-OCT-2024 REGIME
ILLUSTRATIVE. VERIFY THE CURRENT MECHANICS.

Shareholder in the 30% bracket. Listed company
conducts a buyback.

  Shares tendered and accepted          500
  Buyback price per share         Rs 1,150
  BUYBACK CONSIDERATION          Rs 5,75,000
  Original cost of those shares
    (purchased Mar-2021)         Rs 2,90,000
  Holding period: more than 12 months

STEP 1 - the deemed dividend
  The ENTIRE Rs 5,75,000 is a deemed dividend
  under s.2(22)(f).
  Taxed as income from other sources at slab.
    Tax at 30%                   Rs 1,72,500
    Cess 4%                      Rs    6,900
    TAX ON THE DEEMED DIVIDEND   Rs 1,79,400

  Note: NO deduction of the Rs 2,90,000 cost
  against this amount.

STEP 2 - the capital loss
  For capital gains purposes, the full value of
  consideration on the extinguishment of the
  shares is taken as NIL.
    Consideration                Rs        0
    Less: cost of acquisition    Rs 2,90,000
    LONG-TERM CAPITAL LOSS       Rs 2,90,000

  This loss can be set off against long-term
  capital gains, and carried forward for 8
  years against LTCG only - PROVIDED the return
  is filed by the due date.

STEP 3 - the net position
  Economic gain on the holding
    5,75,000 - 2,90,000        = Rs 2,85,000
  Tax paid NOW                   Rs 1,79,400
  Effective rate on the economic
    gain, before using the loss        62.9%

  IF the Rs 2,90,000 LTCL is fully usable
  against other LTCG in the same year at 12.5%:
    tax saved elsewhere          Rs   36,250
    net tax                      Rs 1,43,150
```

```
     effective rate on economic
       gain                              50.2%

   IF the investor has NO other long-term
   capital gains for 8 years, the loss expires
   unused and the effective rate stays at 62.9%.

COMPARE: simply selling the same shares on the
exchange for Rs 5,75,000
   LTCG = 5,75,000 - 2,90,000  = Rs 2,85,000
   Less exemption (assume available)
                                 Rs 1,25,000
   Taxable                       Rs 1,60,000
   Tax at 12.5% + cess           Rs   20,800
   EFFECTIVE RATE                      7.3%

THE PRACTICAL CONCLUSION: under the current
regime, tendering into a buyback is frequently
much worse for a resident individual shareholder
than selling in the market, UNLESS the buyback
price carries a large enough premium to the
market price to compensate. Run the arithmetic
on BOTH routes before tendering.

VERIFY the current mechanics, the treatment of
the cost of acquisition, and the TDS position
with a chartered accountant. This is a recent
change and professional interpretation continues
to develop.
```

Cost Basis Events: Bonus, Split, Rights and Demerger

Corporate actions do not generally create taxable income, but they do change your cost basis and sometimes your holding period. Getting these wrong produces returns that look wrong and tax computations that are wrong, and the errors persist for years because nobody recomputes historical cost basis.

Bonus issue

TEXT

```
BONUS ISSUE - COST BASIS
s.55(2)(aa) and related provisions. VERIFY.

Original holding
  400 shares, purchased 10-May-2023
  Cost Rs 3,20,000  (Rs 800 per share)

1:1 bonus, record date 15-Sep-2025
  400 bonus shares allotted
  Cost of bonus shares: NIL

POST-BONUS POSITION
  Original 400 shares: cost Rs 3,20,000
                       (Rs 800 each)
                       acquired 10-May-2023
  Bonus    400 shares: cost Rs 0
                       acquired 15-Sep-2025

  NOTE: the cost is NOT averaged to Rs 400 per
  share across 800 shares. The two tranches are
  tracked separately with different costs AND
  different acquisition dates.

Share price before bonus       Rs 1,640
Share price after bonus
  (mechanically halves)        Rs   820
Total value unchanged          Rs 6,56,000

SALE SCENARIO - sell 400 shares on 20-Oct-2026
at Rs 905

  Which 400? FIFO applies to demat holdings
  unless you can demonstrate otherwise. FIFO
  says the ORIGINAL shares go first.

  Sale consideration  400 x 905 = Rs 3,62,000
  Cost (original tranche)        Rs 3,20,000
  Holding period: 10-May-2023 to 20-Oct-2026
    = more than 12 months = LONG-TERM
  LTCG                           Rs   42,000
  Tax at 12.5% (above exemption) Rs    5,250

  Remaining: 400 bonus shares, cost NIL,
  acquired 15-Sep-2025. If sold after
  15-Sep-2026 they are long-term; the ENTIRE
  sale proceeds are the gain.

THE TRAP: selling the bonus shares within 12
```

```
months of the bonus record date makes the ENTIRE
proceeds a SHORT-TERM gain at 20%, because the
cost is nil and the holding period runs from
allotment. An investor who has held the
underlying for years can inadvertently realise a
100%-gain short-term position.

ALSO: BONUS STRIPPING. Buying before a bonus
record date and selling the original shares at
the resulting lower price to book a loss is
addressed by anti-avoidance provisions
(historically s.94(8)). VERIFY the current
provision and its scope - it has been extended
over time.
```

Stock split and consolidation

TEXT

```
STOCK SPLIT – COST BASIS

Original holding
  200 shares, purchased 04-Jan-2022
  Cost Rs 4,40,000  (Rs 2,200 per share)

5:1 split (face value Rs 10 → Rs 2),
record date 12-Aug-2025
  Holding becomes 1,000 shares

COST BASIS
  Total cost UNCHANGED at Rs 4,40,000
  Per-share cost = 4,40,000 / 1,000
                 = Rs 440

HOLDING PERIOD
  Runs from the ORIGINAL acquisition date,
  04-Jan-2022, for ALL 1,000 shares.
  A split does not reset the clock and is not
  a transfer.

CONSOLIDATION (reverse split) works identically
in the opposite direction: 1,000 shares at
Rs 440 become 200 at Rs 2,200, original date
preserved.

CONTRAST WITH BONUS: a bonus creates a NEW
tranche with a NIL cost and a NEW acquisition
date. A split RE-DENOMINATES the existing
tranche, preserving both cost and date.
This distinction matters and is frequently
confused.
```

Rights issue

TEXT

```
RIGHTS ISSUE - THREE POSSIBLE OUTCOMES

Holding: 600 shares, cost Rs 7,20,000,
purchased Feb-2023 (Rs 1,200 per share).
Market price Rs 1,500.

Rights issue announced: 1 new share for every
3 held, at Rs 1,000 per share.
Entitlement: 200 rights shares.

_____________________________________________

OUTCOME 1 - YOU SUBSCRIBE
  Pay 200 x Rs 1,000          = Rs 2,00,000
  New tranche:
    200 shares, cost Rs 2,00,000
    (Rs 1,000 each)
    acquisition date = date of ALLOTMENT of
    the rights shares, NOT the original
    purchase date
  Original tranche unchanged:
    600 shares, Rs 7,20,000, Feb-2023

  Total: 800 shares, total cost Rs 9,20,000
  Two tranches, two dates, two cost bases.

_____________________________________________

OUTCOME 2 - YOU RENOUNCE (SELL) THE
RIGHTS ENTITLEMENT (RE) IN THE MARKET
  Rights entitlements are themselves traded.
  Suppose the RE trades at Rs 470 and you sell
  all 200.
  Proceeds                    = Rs 94,000

  This IS a transfer of a capital asset.
  Cost of acquisition of the renounced right:
  generally taken as NIL for the original
  shareholder (the right arose without separate
  cost).
  Holding period of the RE: short - the REs
  exist for a matter of days, so this is a
  SHORT-TERM capital gain.

  STCG = Rs 94,000, taxed at the applicable
  rate. VERIFY whether s.111A (20%) applies to
  the transfer of a rights entitlement on a
  recognised exchange with STT paid, or whether
  the slab rate applies - the treatment depends
  on the specific facts and has been the
```

```
  subject of differing views. TAKE ADVICE.

  Your original 600 shares are unaffected.

_____________________________________________

OUTCOME 3 – YOU DO NOTHING
  The entitlement lapses worthless.
  No tax event. But you have suffered economic
  dilution with no compensation. This is the
  worst of the three outcomes and is purely a
  failure to act.
  SET A CALENDAR ALERT for every rights issue
  in your holdings.

_____________________________________________

PARTIAL SUBSCRIPTION is also possible: subscribe
to some, renounce the rest. Each leg is treated
per the above.

VERIFY the current treatment of rights
entitlement transfers, which is the least
settled part of this.
```

Demerger — cost apportionment

TEXT

```
DEMERGER – COST APPORTIONMENT
s.2(19AA), s.47(vid), s.49(2C), s.49(2D).
VERIFY.

A company demerges a division into a new
"resulting company." Shareholders receive
shares in the resulting company. Provided the
demerger meets the conditions of s.2(19AA),
this is NOT a transfer for the shareholder and
no tax arises at the time.

YOUR POSITION
  Original holding: 500 shares of the demerged
  company, purchased 08-Mar-2022,
  cost Rs 6,50,000 (Rs 1,300 per share)

  Demerger ratio: 1 share of the resulting
  company for every 2 shares held.
  You receive 250 shares of the resulting
  company.

THE APPORTIONMENT RULE
  s.49(2C): cost of the RESULTING company's
  shares
    = cost of original shares
      x (net book value of assets transferred
         in the demerger)
      / (net worth of the demerged company
         immediately before the demerger)

  s.49(2D): cost of the ORIGINAL (demerged
  company) shares
    = original cost MINUS the amount computed
      under s.49(2C)

  THE COMPANY IS REQUIRED TO PUBLISH THE RATIO.
  Look for it in the demerger scheme documents,
  the exchange filing, or the company's investor
  relations page. DO NOT GUESS IT.

WORKED, assuming the published ratio apportions
28% of cost to the resulting company:

  Cost apportioned to resulting company
    = Rs 6,50,000 x 0.28  = Rs 1,82,000
    across 250 shares      = Rs 728 per share
  Cost remaining with demerged company
    = Rs 6,50,000 - 1,82,000
```

```
                            = Rs 4,68,000
    across 500 shares       = Rs 936 per share

HOLDING PERIOD
  Explanation to s.2(42A): the holding period of
  the RESULTING company's shares INCLUDES the
  period the original shares were held.
  So the 250 new shares are deemed held from
  08-Mar-2022, and are already long-term.
  This is a genuinely favourable rule and is
  often missed - investors assume the new shares
  start a fresh clock and sell late or
  misclassify the gain.

SALE OF THE RESULTING COMPANY'S SHARES
  Sell all 250 on 15-Jun-2026 at Rs 1,420
    Consideration            Rs 3,55,000
    Cost (250 x 728)         Rs 1,82,000
    LTCG                     Rs 1,73,000
    (long-term, because the holding period
     carries over from Mar-2022)
    Tax at 12.5% above the exemption

COMMON ERROR: treating the resulting company's
shares as having NIL cost. That would turn
Rs 1,73,000 of gain into Rs 3,55,000 of gain
and cost roughly Rs 22,750 of extra tax on this
one event. Always find the published
apportionment ratio.

VERIFY the conditions of s.2(19AA) were met -
if the demerger does not qualify, the treatment
is entirely different.
```

✦ **Record corporate actions when they happen**

Three years later, reconstructing a cost basis through a bonus, a split, a rights issue and a demerger from memory is close to impossible, and broker statements are frequently wrong after complex actions. Keep a single sheet per holding: date, action, ratio, source document URL or filing reference, resulting cost per share, resulting acquisition date. Five minutes at the time; hours saved later; and it is the difference between a defensible computation and a guess.

The Full Transaction Cost and Tax Stack

Every trade carries six or seven separate charges, levied by five different bodies, computed on different bases, with GST layered on some of them. Brokers advertise the brokerage and bury the rest. On a long-term portfolio the stack is almost irrelevant; on an active one it is the difference between a profitable strategy and a losing one.

> ⚠ **All rates below are as at FY 2025-26 and change by notification — verify before relying on them**
>
> STT rates are set in Chapter VII of the Finance (No. 2) Act 2004 and have been amended, notably with the **F&O increases effective 1 October 2024**. Exchange transaction charges are set by NSE and BSE and are revised periodically. The SEBI turnover fee is set by SEBI. Stamp duty is levied under the Indian Stamp Act as amended, at uniform rates collected through the exchanges and depositories. GST is 18% on brokerage and on exchange and SEBI charges. DP charges are set by your depository participant. **Verify current rates at nseindia.com, bseindia.com, sebi.gov.in and incometax.gov.in, and check your broker's own published charge list.**

The components

Charge	Levied by	Basis	Deductible against capital gains?	Deductible against business income?
Brokerage	Your broker	Flat per order or a percentage of turnover, per the broker's schedule	Yes — expenditure in connection with the transfer	Yes
Securities Transaction Tax (STT)	Government, collected by the exchange	Percentage of turnover or premium, varying by segment and by buy/sell side	**No** — specifically disallowed where the gain is charged under s.111A/112A	**Yes** — allowable as a business expense
Exchange transaction charges	NSE / BSE	Percentage of turnover, by segment	Yes	Yes
SEBI turnover fee	SEBI	Small percentage of turnover	Yes	Yes
Stamp duty	State, collected centrally	Percentage of turnover, **buy side only**, varying by segment	Yes	Yes
GST	Government	**18%** on brokerage + exchange charges + SEBI fee (not on STT or stamp duty)	Yes	Yes (and may be creditable if registered, which a trader generally is not for this purpose)
DP charges	Depository + DP	Flat amount per scrip per day on **delivery sells** from demat	Yes	Yes
Auction / settlement penalties	Exchange	Where delivery fails	Case-specific	Yes

Indicative rate card by segment — verify every figure

Segment	STT	Stamp duty (buy side)	Exchange charges	DP charges
Equity delivery	0.1% on buy and 0.1% on sell, on turnover	0.015% on turnover	A small percentage of turnover, set by the exchange	Flat per scrip per day on sell
Equity intraday	0.025% on the **sell** side only	0.003% on turnover	As above	Not applicable
Equity futures	On the sell side, on turnover — **increased with effect from 1 October 2024**	0.002% on turnover	As set by the exchange	Not applicable
Equity options	On the sell side, on the **premium** — **increased with effect from 1 October 2024**. On **exercised** options, STT is charged on the **settlement price** basis, which is a much larger number.	0.003% on premium	Charged on **premium turnover**, and materially higher as a percentage than in other segments	Not applicable
Equity MF purchase	Not on purchase	0.005% on the amount invested	Not applicable	Not applicable unless held in demat
Equity MF redemption	STT applies on redemption of equity-oriented units	Not applicable	Not applicable	Not applicable unless held in demat
Currency and commodity derivatives	CTT applies to certain commodity derivatives; currency	Segment-specific	Segment-specific	Not applicable

	derivatives have no STT			

The exercised-option STT trap

STT on an option that is **exercised** has historically been computed on the **settlement value**, not the premium. An in-the-money option left to expire and auto-exercised can therefore attract an STT charge that is a large multiple of the premium received or paid, in some cases exceeding the entire profit on the trade. **Verify the current basis and rate** — this has been a recurring source of large, unexpected charges for retail option traders. The practical defence is to square off in-the-money options before expiry rather than letting them go to exercise. See the derivatives guide.

The full stack on three trades

TEXT

```
TRADE 1 - EQUITY DELIVERY, Rs 2,00,000 ROUND TRIP
Buy Rs 2,00,000, sell Rs 2,20,000.
Discount broker, flat Rs 20 per executed order
(or 0.03%, whichever is lower).
ILLUSTRATIVE RATES - VERIFY.

  BUY LEG  (turnover Rs 2,00,000)
    brokerage                     Rs  20.00
    STT 0.1%                      Rs 200.00
    exchange transaction charges  Rs   6.50
    SEBI turnover fee             Rs   2.00
    stamp duty 0.015%             Rs  30.00
    GST 18% on (20 + 6.50 + 2)    Rs   5.13
    BUY-SIDE TOTAL                Rs 263.63

  SELL LEG (turnover Rs 2,20,000)
    brokerage                     Rs  20.00
    STT 0.1%                      Rs 220.00
    exchange transaction charges  Rs   7.15
    SEBI turnover fee             Rs   2.20
    stamp duty (sell side: nil)   Rs   0.00
    GST 18% on (20 + 7.15 + 2.20) Rs   5.28
    DP charge (1 scrip)           Rs  13.50
    GST on DP charge              Rs   2.43
    SELL-SIDE TOTAL               Rs 270.56

  TOTAL ROUND-TRIP COST           Rs 534.19
  As a % of the Rs 2,00,000 position   0.27%
  As a % of the Rs 20,000 gross gain   2.67%

  Gross gain                   Rs 20,000.00
  Less transaction costs       Rs    534.19
  Net gain before tax          Rs 19,465.81

  If SHORT-TERM: STCG tax base is
    consideration less transfer expenses less
    cost. STT is NOT deductible.
    Taxable gain approx         Rs 19,885
    Tax at 20% + cess           Rs  4,136
    NET AFTER EVERYTHING        Rs 15,330
      = 76.6% of the gross gain

  If LONG-TERM and within the exemption:
    Tax                         Rs      0
    NET AFTER EVERYTHING        Rs 19,466
      = 97.3% of the gross gain

_____________________________________________________
```

```
TRADE 2 - EQUITY INTRADAY, Rs 5,00,000 TURNOVER
EACH WAY, Rs 2,500 GROSS PROFIT
ILLUSTRATIVE - VERIFY.

    brokerage (2 orders)          Rs  40.00
    STT 0.025% on sell side       Rs 125.00
    exchange charges both legs    Rs  32.50
    SEBI fee both legs            Rs  10.00
    stamp duty 0.003% buy         Rs  15.00
    GST 18% on (40 + 32.50 + 10)  Rs  14.85
    TOTAL                         Rs 237.35

  Gross profit                 Rs 2,500.00
  Less costs                   Rs   237.35
  Net                          Rs 2,262.65
  Costs as a % of gross profit       9.5%

  Taxed as SPECULATIVE BUSINESS INCOME at slab.
  At 30% + cess                Rs   706.00
  NET                          Rs 1,556.65
    = 62.3% of the gross profit

  NOW CONSIDER: to make Rs 2,500 on a
  Rs 5,00,000 position requires a 0.5% move in
  your favour. The costs consume 0.047% of the
  move. Your break-even move is 0.047%, so
  roughly 9.5% of every winning trade. Over
  hundreds of trades this is the single largest
  determinant of whether the activity is
  profitable - see the trading risk guide.

_____________________________________________

TRADE 3 - INDEX OPTION, 1 LOT
Premium paid Rs 140, lot size 75.
Sold at Rs 195.
ILLUSTRATIVE - VERIFY, ESPECIALLY STT WHICH
INCREASED FROM 1 OCTOBER 2024.

  Buy premium turnover  140 x 75 = Rs 10,500
  Sell premium turnover 195 x 75 = Rs 14,625

    brokerage (2 orders)          Rs  40.00
    STT on sell side, on premium
      (VERIFY CURRENT RATE)       Rs  14.63
    exchange charges on premium
      turnover, both legs - note
      options charges are much
      higher as a % than other
      segments                    Rs  13.00
```

```
    SEBI fee                        Rs    0.25
    stamp duty 0.003% on buy
      premium                       Rs    0.32
    GST 18% on (40 + 13 + 0.25)     Rs    9.59
    TOTAL                           Rs   77.79

Gross profit  (195-140) x 75  = Rs 4,125.00
Less costs                      Rs    77.79
Net before tax                  Rs 4,047.21
Costs as % of gross profit             1.9%

Looks cheap. BUT the same cost applies to a
LOSING trade, and the loss is unbounded in
percentage terms. On a trade where the
premium goes from 140 to 20:
  gross loss  (140-20) x 75   = Rs 9,000
  plus costs                  = Rs    55
  total                       = Rs 9,055

And if the option is left to EXPIRE in the
money rather than squared off, STT on
exercise is computed on a settlement basis
and can be an order of magnitude larger.
VERIFY the current exercise STT basis.

Taxed as NON-SPECULATIVE BUSINESS INCOME at
slab rates, with all these costs deductible.
```

> **The one ratio to track**
>
> Compute **total annual transaction costs divided by average portfolio value**. For a long-term portfolio with four holdings and quarterly rebalancing this should be well under 0.1% a year. If it is above 1%, the activity level is the problem, not the market. This number is easy to compute from the charges column of your tracker and it is the fastest honest diagnosis of whether you are investing or trading.

Intraday and F&O as Business Income

The moment your activity crosses into business income, a different compliance regime applies: different forms, different expense rules, different set-off rules, books of account, possible tax audit, and advance tax on a quarterly basis. Many retail participants discover this after the fact, usually when a notice arrives.

The classification consequences, side by side

	Delivery equity as capital gains	Intraday equity (speculative business)	F&O (non-speculative business)
Head	Capital gains	Business/profession	Business/profession
Rate	20% STCG / 12.5% LTCG	Slab	Slab
STT deductible	No	Yes	Yes
Other expenses deductible	Only transfer-related	All business expenses	All business expenses
Depreciation on assets	No	Yes	Yes
Loss set off within the year	STCL vs STCG+LTCG; LTCL vs LTCG only	**Only against speculative income**	Against any head except salary
Carry forward	8 years, capital gains only	**4 years**, speculative only	8 years, business income only
Books of account (s.44AA)	Not required for this reason	Required above thresholds	Required above thresholds
Tax audit (s.44AB)	Not applicable	Possible — see below	Possible — see below
Presumptive taxation (s.44AD)	Not applicable	Not available for speculative business	May be available subject to conditions — verify
ITR form	ITR-2	**ITR-3**	**ITR-3**
Advance tax	Applicable, with s.234C relief for capital gains arising late in the year	Applicable, no such relief	Applicable, no such relief

⚠ **One F&O trade changes your return**

A salaried investor who makes a single F&O trade in a financial year has business income (or a business loss) and must file **ITR-3** rather than ITR-2, with the business schedules completed. This is not optional and the lower-numbered forms will not accept the income. The practical implication: if you were planning to "try" derivatives with a small amount, understand that it converts your annual filing from a 40-minute exercise into one that realistically needs a chartered accountant. **Verify the current form applicability on the e-filing portal.**

Turnover Computation and Tax Audit Applicability

"Turnover" for a derivatives trader is not the notional value of contracts traded. It is a specific computed figure, and it determines whether a tax audit under s.44AB applies. This is the single most confused area in retail trading taxation, and getting it wrong in either direction is expensive — unnecessary audit fees on one side, penalty exposure on the other.

⚠ **The turnover computation for derivatives rests on ICAI guidance, not on statute — verify the current position**

The Income-tax Act does not define turnover for derivatives. The widely followed basis is the **ICAI Guidance Note on Tax Audit under section 44AB**, which has been **revised** — notably on the question of whether option premium received on sale is included in turnover. Earlier editions included it; a later revision reflects a different view. Different chartered accountants take different positions, and some brokers' tax reports compute it one way while your CA computes it another. **Confirm which edition of the Guidance Note applies and which basis your CA is using, and keep the working.**

How turnover is computed, by segment

Segment	Basis commonly applied (verify)
Intraday equity (speculative)	The **absolute sum** of settlement profits and losses. A ₹4,000 profit and a ₹3,000 loss produce ₹7,000 of turnover, not ₹1,000.
Futures	The **absolute sum** of settlement profits and losses on each contract.
Options	The **absolute sum** of settlement profits and losses. Whether the **premium received on sale of options** is additionally included depends on which edition of the ICAI Guidance Note is followed — **this is the specific point that was revised. Verify.**
Delivery equity treated as business	The total sale value (as for any trading business in stock-in-trade)
Delivery equity treated as investment	Not turnover at all — capital gains do not have turnover

TEXT

```
TURNOVER COMPUTATION - WORKED
FY 2025-26. ILLUSTRATIVE. VERIFY THE BASIS WITH
YOUR CHARTERED ACCOUNTANT.

A salaried engineer trades index options during
the year. Twelve trades.

 #   Segment  Result
 ------------------------------------
  1  option   profit Rs  18,400
  2  option   loss   Rs  22,100
  3  option   profit Rs   6,750
  4  option   loss   Rs  41,300
  5  future   profit Rs  12,900
  6  option   loss   Rs   9,800
  7  option   profit Rs  31,250
  8  option   loss   Rs  55,600
  9  future   loss   Rs  18,400
 10  option   profit Rs   4,100
 11  option   loss   Rs  27,900
 12  option   profit Rs   9,300

NET RESULT
  total profits   = 18,400 + 6,750 + 12,900
                    + 31,250 + 4,100 + 9,300
                  = Rs  82,700
  total losses    = 22,100 + 41,300 + 9,800
                    + 55,600 + 18,400 + 27,900
                  = Rs 1,75,100
  NET LOSS        = Rs 92,400

TURNOVER (absolute sum basis)
  = 82,700 + 1,75,100
  = Rs 2,57,800

NOTE: the trader LOST Rs 92,400 but has
Rs 2,57,800 of "turnover". Turnover has nothing
to do with profitability.

IF the Guidance Note edition being followed also
includes PREMIUM RECEIVED ON SALE OF OPTIONS:
  suppose the total premium received across all
  short-option legs during the year was
  Rs 6,40,000.
  Turnover becomes
    2,57,800 + 6,40,000 = Rs 8,97,800
  A 3.5x difference arising purely from which
  basis is applied.
```

```
  THIS IS WHY YOU MUST CONFIRM THE BASIS.
  Your broker's tax P&L report will state which
  one it used. Your CA may disagree with it.

ALSO NOTE what is NOT turnover:
  The notional contract value. If the index was
  at 25,000 and the lot size 75, each contract
  has a notional value of Rs 18,75,000. Twelve
  contracts would be Rs 2.25 crore of notional.
  THIS IS NOT TURNOVER for s.44AB purposes.
  Investors frequently panic about audit on
  this basis unnecessarily.
```

Tax audit under s.44AB

Situation	Position as at FY 2025-26 (verify)
Business turnover up to **₹1 crore** (10,000,000 rupees)	Audit generally not required on the turnover test alone, subject to the profit-declaration conditions below
Turnover between **₹1 crore and ₹10 crore**	Audit **not** required if cash receipts and cash payments each do not exceed **5%** of the respective totals. For a trader operating entirely through banking channels this condition is typically met, so the effective threshold is **₹10 crore**. **Verify the current thresholds and the exact wording of the proviso.**
Turnover above **₹10 crore**	Audit required
Where s.44AD was opted into and is now being exited	Specific rules apply: if presumptive taxation was opted for and the taxpayer declares lower profits in a later year within the lock-in period, audit may be triggered where income exceeds the basic exemption limit. **s.44AD(4) and (5) — verify.**
Declaring profit below the presumptive rate	Where s.44AD applies and profits below the prescribed percentage are declared, and total income exceeds the basic exemption limit, audit may be required. **This is the limb that catches loss-making traders. Verify carefully.**
Audit report form	Form 3CA/3CB and Form 3CD, filed by a chartered accountant
Due date	Earlier than the non-audit filing date; the return due date is also extended for audit cases. **Verify the current dates each year.**
Penalty for not getting audited	Under **s.271B**, a penalty of 0.5% of turnover subject to a stated maximum, unless reasonable cause is shown. **Verify the current amount.**

The loss-making trader's audit trap — get advice

A trader with a **loss** and modest turnover may still face an audit requirement, because declaring profits below the presumptive rate under s.44AD while having total income above the basic exemption limit can trigger s.44AB. Many retail participants assume "I lost money, so there is nothing to audit." That is not how the provision works. The interaction between s.44AD, s.44AB and the carry-forward of losses is genuinely complicated and has changed over time. **If you have any derivatives or intraday activity and a loss you want to carry forward, engage a chartered accountant. The fee is small relative to a forfeited carry-forward or a s.271B penalty.**

Section 44AD presumptive taxation

Element	Position (verify)
What it does	Allows eligible businesses to declare profit at a prescribed percentage of turnover without maintaining detailed books
Prescribed percentage	**8%** of turnover generally; **6%** for turnover received through prescribed banking/electronic modes. Verify.
Turnover limit	A stated ceiling, with a higher ceiling where cash receipts are within a prescribed percentage. **Verify the current limits.**
Available for speculative business?	**No** — speculative business is excluded. Intraday equity cannot use s.44AD.
Available for F&O?	Non-speculative business may be eligible subject to conditions; this has been debated. **Verify and take advice.**
The lock-in	Once opted in, opting out within the stated period has consequences under s.44AD(4)–(5), including a bar on re-entry for a number of years and a possible audit requirement. **Do not opt in casually.**
Practical warning	Declaring 6% of turnover as profit when you actually made a loss means **paying tax on income you did not earn** and **forgoing the carry-forward of the real loss**. For a loss-making trader this is usually the wrong choice, even though it avoids an audit.

Expenses Deductible Against Trading Income

The compensation for business-income treatment being taxed at slab rates is that real expenses become deductible. Most retail traders under-claim because they never thought of their activity as a business and kept no records. Records kept contemporaneously are worth money; records reconstructed afterwards are worth arguments.

What is generally deductible

Expense	Deductible?	Evidence to keep
Brokerage, exchange charges, SEBI fee, stamp duty, GST on charges	Yes	Broker's annual charges statement and contract notes
STT	**Yes** when the income is business income (unlike the capital gains treatment)	Broker statement
Internet and broadband	Yes, to the extent used for the business — apportion honestly	Bills in your name, with a documented apportionment basis
Mobile and telephone	Proportionate	Bills, apportionment note
Electricity	Proportionate, where a home office is used	Bills, apportionment basis (e.g. floor area)
Rent for premises used for the business	Proportionate	Rent agreement, receipts. **Note TDS obligations under s.194-IB above a threshold.**
Computer, monitors, furniture	Via **depreciation** at the prescribed rate, not as an outright deduction	Invoices; a fixed asset register
Software, data subscriptions, charting platforms	Yes	Invoices, payment records
Research reports, advisory subscriptions from a **registered** adviser	Yes	Invoices. **Payments to unregistered tipsters are a separate problem — see the regulatory section.**
Books, courses and training directly related to the business	Generally yes — subject to the capital-versus-revenue distinction	Invoices
Professional fees — chartered accountant, audit fee	Yes	Invoices

Interest on money borrowed for the business	Yes, where the borrowing is genuinely for the business	Loan documents, bank statements showing the trail. **Note: this guide does not suggest borrowing to trade. See the trading risk guide.**
Demat annual maintenance charges	Yes	DP statement
Bank charges on the trading account	Yes	Bank statement
Salary to staff	Yes, if genuine. **TDS obligations apply.**	Payroll records
Personal expenses, household items, a car used personally	**No**	—
Losses on other activity	Not an expense — these are governed by the set-off rules	—

Apportionment must be honest and documented

Claiming 100% of a household broadband bill against trading income when the connection is also used for streaming and work-from-home is the kind of claim that converts a routine assessment into a contested one. Use a defensible basis — hours of use, floor area, number of devices — write it down once, apply it consistently, and keep the note. A 40% claim you can justify is worth more than a 100% claim you cannot. **Discuss your apportionment with a chartered accountant.**

TEXT

A TRADER'S EXPENSE SCHEDULE - WORKED
FY 2025-26. ILLUSTRATIVE ONLY.

Gross F&O result for the year (non-speculative business)		Rs 4,80,000
LESS DEDUCTIBLE EXPENSES		
brokerage		Rs 64,200
STT		Rs 38,900
exchange transaction charges		Rs 29,400
SEBI turnover fee		Rs 1,180
stamp duty		Rs 4,600
GST on brokerage and charges		Rs 17,060
demat AMC		Rs 450
bank charges		Rs 1,200
internet (60% of Rs 18,000)		Rs 10,800
mobile (40% of Rs 14,400)		Rs 5,760
electricity (25% of Rs 48,000)		Rs 12,000
charting/data subscription		Rs 24,000
registered adviser subscription		Rs 36,000
books and training		Rs 8,500
CA fees (filing + advisory)		Rs 25,000
depreciation:		
computer Rs 95,000 at the prescribed rate for computers (VERIFY the current rate and whether the half-year rule applies on timing)	say	Rs 38,000
furniture Rs 40,000 at the prescribed rate	say	Rs 4,000
TOTAL EXPENSES		Rs 3,21,050
NET BUSINESS INCOME		Rs 1,58,950

This is added to salary and other income and taxed at slab rates. At a 30% marginal rate:

tax	Rs 47,685
cess 4%	Rs 1,907
TOTAL	Rs 49,592

WITHOUT claiming the non-transaction expenses (internet, mobile, electricity, subscriptions, books, CA fees, depreciation - Rs 1,64,060):

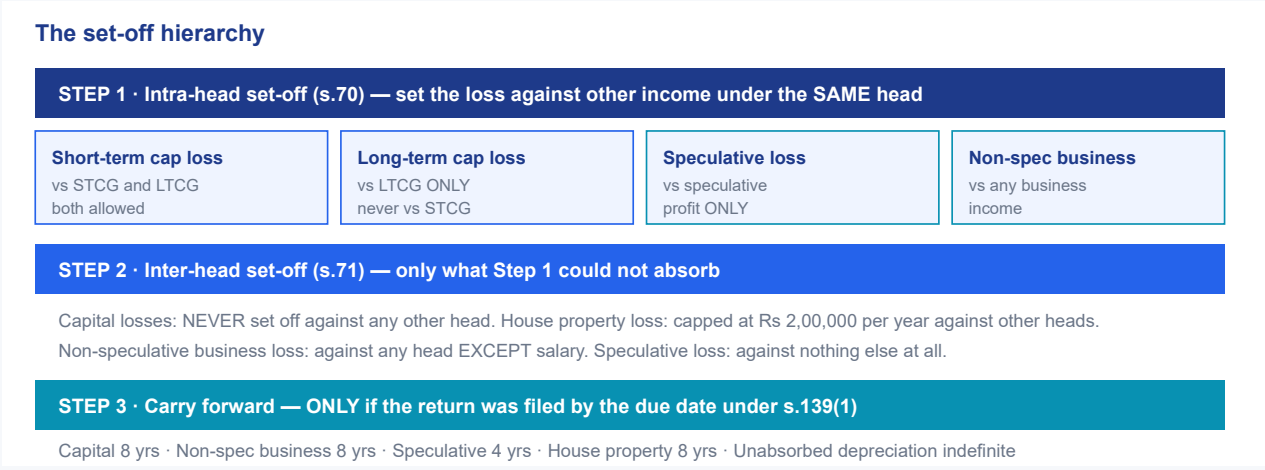
net income would be	Rs 3,23,010
tax at 30% + cess	Rs 1,00,779
EXTRA TAX PAID	Rs 51,187

```
Rs 51,187 of tax, for the absence of a folder of
invoices. Keep the folder.

VERIFY depreciation rates and the applicable
block of assets, the half-year rule, and the
deductibility and apportionment of each item
with a chartered accountant.
```

Set-Off and Carry-Forward Rules in Full

Losses are an asset, but only if you handle them correctly. The rules are a hierarchy: set off within the same head first, then across heads where permitted, then carry forward what remains. Each category has its own carry-forward period and its own restriction on what it may be set against. And one procedural requirement overrides everything: **a loss can only be carried forward if the return was filed by the due date.**



Sections 70, 71, 72, 73, 74 and 139(3) of the Income-tax Act 1961, as at FY 2025-26. Verify — and note that the Income-tax Act 2025 renumbers these from 1 April 2026.

The full rules table

Loss type	Set off within the year against	Cannot be set off against	Carry-forward period	Carried-forward loss may be set against
Short-term capital loss	STCG and LTCG	Any other head, including salary and business income	**8 assessment years**	STCG and LTCG
Long-term capital loss	**LTCG only**	STCG; any other head	**8 assessment years**	LTCG only
Speculative business loss (intraday equity)	Speculative business income only	Everything else, including non-speculative business income	**4 assessment years**	Speculative business income only
Non-speculative business loss (F&O, trading as business)	Any head **except salary** — including capital gains, house property, other sources	Salary	**8 assessment years**	**Business income only** (speculative or non-speculative)
Loss from house property	Any head, but capped at **₹2,00,000** per year for inter-head set-off	Beyond the cap in the same year	**8 assessment years**	House property income only
Unabsorbed depreciation	Any head except salary	Salary	**Indefinite**	Any head except salary
Loss from owning and maintaining racehorses	Only income from the same activity	Everything else	4 years	Same activity only
VDA / crypto loss	**Nothing** — not even against other VDA gains	Everything	**Not permitted**	—

File by the due date or lose the carry-forward permanently

Under **s.139(3) read with s.80**, losses under the heads "capital gains" and "profits and gains of business or profession" can only be carried forward if the return claiming them is filed **on or before the due date under s.139(1)**. A belated return preserves your ability to file, but **not your ability to carry the loss forward**. There is no relief for this, no condonation route in the ordinary case, and the loss is gone forever. A ₹6,00,000 (600,000 rupee) business loss that could have sheltered future income is worth roughly ₹1,87,000 of tax at a 30% marginal rate. **That is the price of filing two weeks late.** Note that loss from house property and unabsorbed depreciation have different treatment. **Verify the current provisions and the current due date, which is routinely extended by notification.**

A worked multi-year set-off

TEXT

MULTI-YEAR SET-OFF AND CARRY-FORWARD
Salaried engineer with investing and some derivatives activity. FY 2025-26 rules assumed throughout. VERIFY.

═══

FY 2025-26 (AY 2026-27)

═══

Salary	Rs 28,00,000
Short-term capital gain (equity)	Rs 1,20,000
Long-term capital gain (equity)	Rs 90,000
F&O loss (non-speculative)	Rs -3,40,000
Intraday equity loss (spec)	Rs -46,000
Bank interest	Rs 72,000

STEP 1 - INTRA-HEAD (s.70)

Capital gains head: STCG 1,20,000 and LTCG 90,000, no capital losses. Nothing to set off.

Speculative: loss 46,000, no speculative income. Nothing to set off.

Non-speculative business: loss 3,40,000, no other business income. Nothing to set off.

STEP 2 - INTER-HEAD (s.71)

Non-speculative business loss of Rs 3,40,000 may be set off against any head EXCEPT salary.

Available non-salary income:

STCG	Rs 1,20,000
LTCG	Rs 90,000
Bank interest	Rs 72,000
Total	Rs 2,82,000

Set off Rs 2,82,000 of the business loss.

Remaining business loss Rs 58,000.

NOTE AN IMPORTANT CHOICE: setting the business loss against the LTCG of Rs 90,000 "wastes" the s.112A exemption, which would have made that Rs 90,000 tax-free anyway. The set-off under s.71 is MANDATORY in order, not optional, where the loss exists. Discuss the ordering with a chartered accountant - the interaction of mandatory set-off with the s.112A exemption is not intuitive and the portal utility applies a specific sequence.

```
  Speculative loss Rs 46,000: CANNOT be set off
  against anything. Carried forward in full.

TOTAL INCOME FY 2025-26
  Salary                          Rs 28,00,000
  All other heads reduced to nil by set-off
  TOTAL INCOME                    Rs 28,00,000
  (taxed per the applicable regime and slabs)

CARRIED FORWARD TO FY 2026-27
  Non-speculative business loss   Rs    58,000
    (8 years, business income only)
  Speculative business loss       Rs    46,000
    (4 years, speculative income only)

  CONDITION: the FY 2025-26 return must be
  filed by the due date. Because there is F&O
  activity, the form is ITR-3.

═══════════════════════════════════════════════
FY 2026-27  (AY 2027-28)
═══════════════════════════════════════════════
  Salary                          Rs 31,00,000
  F&O profit (non-speculative)    Rs  2,10,000
  Intraday equity profit (spec)    Rs    18,000
  Short-term capital LOSS (equity) Rs -2,60,000
  Long-term capital gain (equity)  Rs  4,15,000
  Bank interest                    Rs    81,000

STEP 1 - BROUGHT-FORWARD BUSINESS LOSSES (s.72,
s.73) are set off BEFORE current-year inter-head
set-off of current losses.
  B/f non-speculative loss Rs 58,000 against
    current F&O profit Rs 2,10,000
    → F&O income now      Rs 1,52,000
    → b/f non-spec loss   NIL
  B/f speculative loss Rs 46,000 against current
    speculative profit Rs 18,000
    → speculative income  NIL
    → b/f spec loss remaining Rs 28,000
       (carried forward; 3 years left of the
        original 4)

STEP 2 - CURRENT-YEAR INTRA-HEAD (s.70)
  Capital gains head:
    STCL Rs 2,60,000 may be set off against
    BOTH STCG and LTCG.
    Current LTCG Rs 4,15,000.
    Set off Rs 2,60,000.
```

```
    Remaining LTCG          Rs 1,55,000

STEP 3 - APPLY THE s.112A EXEMPTION
  LTCG after set-off        Rs 1,55,000
  Less exemption            Rs 1,25,000
  TAXABLE LTCG              Rs   30,000
  Tax at 12.5%              Rs    3,750
  Cess 4%                   Rs      150
                            Rs    3,900

TOTAL INCOME FY 2026-27
  Salary                        Rs 31,00,000
  Business income (F&O)         Rs  1,52,000
  Speculative income            Rs        0
  Bank interest                 Rs    81,000
  LTCG (taxed separately at 12.5%) Rs   30,000
  TOTAL (slab-taxed portion)    Rs 33,33,000
  Plus LTCG taxed at special rate Rs   30,000

CARRIED FORWARD TO FY 2027-28
  Speculative loss          Rs  28,000
    (3 of the 4 years remaining)
  No capital loss remaining
  No business loss remaining

═══════════════════════════════════════════════
FY 2027-28  (AY 2028-29)
═══════════════════════════════════════════════
  No intraday activity at all this year.
  Speculative loss of Rs 28,000 cannot be used.
  Still 2 years remaining on its carry-forward.

═══════════════════════════════════════════════
FY 2029-30  (AY 2030-31)
═══════════════════════════════════════════════
  The 4-year carry-forward period for the
  FY 2025-26 speculative loss EXPIRES.
  Rs 28,000 of loss is lost permanently, having
  never been usable.

  LESSON: speculative loss carry-forward is
  nearly worthless in practice. Price intraday
  losses as fully sunk when you incur them.

VERIFY every rule above, the ordering of
set-offs, and the interaction with the s.112A
exemption with a chartered accountant. The
ordering rules in particular are more subtle
```

```
than a summary can convey and the e-filing
utility enforces a specific sequence.
```

Practical loss-management rules

- ☐ **File by the due date, every year, without exception** — even in a year with nothing to report, if you have carry-forward losses from earlier years you must keep filing to preserve them.
- ☐ Short-term capital losses are more valuable than long-term ones, because they can shelter both STCG (at 20%) and LTCG (at 12.5%). If you have a choice of which losing position to realise, realising the **short-term** one preserves more flexibility.
- ☐ Set off against the **highest-rate** gain first where the law gives you a choice. Sheltering 20% STCG is worth more than sheltering 12.5% LTCG.
- ☐ Do not harvest losses against gains that are already covered by the s.112A exemption. That wastes both.
- ☐ Track carry-forward losses in a permanent schedule with the assessment year of origin and the expiry year. The return's Schedule CFL requires this and reconstructing it later is painful.
- ☐ Remember that **crypto losses set off against nothing**, including other crypto gains. Compute crypto separately and do not expect any relief.
- ☐ If you have a non-speculative business loss and salary income, note that it **cannot** touch the salary. Many traders assume a trading loss reduces their salary tax. It does not.

Advance Tax, and Interest Under Sections 234B and 234C

Tax in India is pay-as-you-earn. If your tax liability after TDS exceeds a stated threshold, you must pay it in instalments through the year, and paying late attracts interest at 1% a month. For salaried employees whose TDS covers everything this never arises. The moment you have capital gains, dividends, interest or business income, it does.

The rules

Element	Position as at FY 2025-26 (verify)
When advance tax applies	Where the estimated tax liability for the year, **after reducing TDS and TCS**, is **₹10,000 or more**. Verify the current threshold.
Exemption for senior citizens	A resident individual aged 60 or above who does **not** have income from business or profession is not liable to pay advance tax. Verify.
Instalment schedule (s.211)	**15 June** — 15% cumulative; **15 September** — 45%; **15 December** — 75%; **15 March** — 100%
Presumptive taxpayers under s.44AD/44ADA	A single instalment by **15 March** of 100%. Verify.
Interest under **s.234B**	Where advance tax paid is less than **90%** of assessed tax: **1% per month or part of a month** on the shortfall, from 1 April of the assessment year until the date of payment
Interest under **s.234C**	For shortfall in each individual instalment: **1% per month** for the specified number of months on the shortfall, computed instalment by instalment
Interest under **s.234A**	For filing the return late: 1% per month on the unpaid tax from the due date to the date of filing
The capital gains relief in s.234C	Where income from **capital gains**, certain lottery/casual income, or a newly set-up business arises *after* an instalment date, no s.234C interest is charged for that instalment **provided the full tax on it is paid in the remaining instalments, or by 31 March if it arises after 15 March**. **This relief is specific and conditional — verify the exact wording.**
Where the relief does **not** apply	Business income, including F&O. There is no "it happened late in the year" relief for business income.

TEXT

```
ADVANCE TAX AND 234B/234C - FULLY WORKED
FY 2025-26, AY 2026-27. ILLUSTRATIVE.
VERIFY ALL RATES AND THE RELIEF CONDITIONS.

THE TAXPAYER
  Salary (TDS deducted by employer)
    Gross salary               Rs 26,00,000
    TDS deducted by employer   Rs  4,20,000
  Bank interest                Rs    90,000
    TDS deducted by bank       Rs     9,000
  Dividend income              Rs    65,000
    TDS under s.194            Rs     6,500
  Short-term capital gain on equity, realised
    on 08-Jan-2026             Rs  5,00,000
  F&O profit (non-speculative), earned
    evenly across the year     Rs  3,60,000

ASSUME the new regime applies and the computed
total tax liability for the year is:

  Tax on slab-taxed income
    (salary + interest + dividend + F&O)
                               Rs  5,76,000
  Tax on STCG at 20% u/s 111A
    5,00,000 x 20%             Rs  1,00,000
  Sub-total                    Rs  6,76,000
  Health & education cess 4%   Rs    27,040
  TOTAL TAX LIABILITY          Rs  7,03,040

  Less TDS already deducted
    employer 4,20,000
    bank        9,000
    dividend    6,500          Rs  4,35,500
  NET ADVANCE TAX PAYABLE      Rs  2,67,540

  Exceeds Rs 10,000, so advance tax applies.

_____________________________________________

WHAT SHOULD HAVE BEEN PAID, AND WHEN
(computed on the liability as it stood at each
date, net of TDS)

Note the STCG arose on 08-Jan-2026, i.e. AFTER
the 15-Dec instalment. The s.234C capital gains
relief may apply to it. The F&O income accrued
through the year and gets NO relief.

LIABILITY EXCLUDING THE JANUARY STCG
```

```
  Total tax on everything except STCG
    = 5,76,000 + 4% cess       Rs  5,99,040
  Less TDS                     Rs  4,35,500
  Advance tax base for the first three
    instalments                Rs  1,63,540

  15-Jun-2025  15% of 1,63,540 = Rs  24,531
  15-Sep-2025  45% of 1,63,540 = Rs  73,593
  15-Dec-2025  75% of 1,63,540 = Rs 1,22,655
  15-Mar-2026  100% of the FULL liability
                including STCG = Rs 2,67,540

_____________________________________________

WHAT WAS ACTUALLY PAID
  15-Jun-2025                  Rs       0
  15-Sep-2025                  Rs       0
  15-Dec-2025                  Rs  50,000
  15-Mar-2026                  Rs 1,20,000
  Balance paid on filing,
    20-Jul-2026                Rs  97,540
  TOTAL                        Rs 2,67,540

_____________________________________________

SECTION 234C - INSTALMENT SHORTFALL INTEREST

 Instalment 1 (15-Jun-2025)
   Required                    Rs  24,531
   Paid cumulative             Rs       0
   Shortfall                   Rs  24,531
   Interest: 1% x 3 months     Rs     735

 Instalment 2 (15-Sep-2025)
   Required                    Rs  73,593
   Paid cumulative             Rs       0
   Shortfall                   Rs  73,593
   Interest: 1% x 3 months     Rs   2,207

 Instalment 3 (15-Dec-2025)
   Required                    Rs 1,22,655
   Paid cumulative             Rs   50,000
   Shortfall                   Rs   72,655
   Interest: 1% x 3 months     Rs   2,179

 Instalment 4 (15-Mar-2026)
   Required                    Rs 2,67,540
   Paid cumulative             Rs 1,70,000
   Shortfall                   Rs  97,540
   Interest: 1% x 1 month      Rs     975
```

```
   NOTE: the Rs 1,00,000 of tax on the January
   STCG is included in the instalment-4
   requirement. If the s.234C capital gains
   proviso applies, the STCG element would be
   excluded from the earlier instalments'
   shortfall computations - which is already
   reflected above, since instalments 1-3 were
   computed excluding it.

 TOTAL s.234C INTEREST          Rs   6,096

_____________________________________________

SECTION 234B - SHORTFALL AT YEAR END

  Assessed tax (tax less TDS)   Rs 2,67,540
  90% of assessed tax           Rs 2,40,786
  Advance tax actually paid by
    31-Mar-2026                 Rs 1,70,000

  1,70,000 is LESS than 2,40,786, so s.234B
  applies.

  Shortfall for 234B
    = 2,67,540 - 1,70,000       Rs  97,540
  Period: 1 April 2026 to the date of payment,
  20 July 2026 = 4 months (part months count
  as full months)
  Interest: 1% x 4 x 97,540     Rs   3,902

_____________________________________________

SECTION 234A
  Return filed 20-Jul-2026, which is on or
  before the due date (assume 31-Jul-2026).
  NO s.234A interest.
  Had it been filed on 05-Sep-2026:
    1% x 2 months x 97,540      Rs   1,951
  AND the ability to carry forward any business
  loss would have been LOST.

_____________________________________________

TOTAL INTEREST COST
  s.234C                        Rs   6,096
  s.234B                        Rs   3,902
  TOTAL                         Rs   9,998

  Avoidable by paying four instalments on time.
  The money was always going to be paid; the
  Rs 9,998 is purely the cost of timing.
```

```
──────────────────────────────────────────────────
THE PRACTICAL ROUTINE
  Each quarter, in the first week of June,
  September, December and March:
    1. Estimate the year's income from all
       sources, including realised gains to date
    2. Compute the estimated tax
    3. Subtract TDS expected for the year
    4. Pay the cumulative percentage due, less
       what you have already paid
    5. Pay online via the e-Pay Tax facility on
       incometax.gov.in (Challan 280 / the
       current equivalent), selecting the
       correct assessment year - A COMMON AND
       EXPENSIVE ERROR IS SELECTING THE WRONG
       ASSESSMENT YEAR
    6. Keep the challan. The CIN appears in
       Form 26AS and must be entered in the
       return.

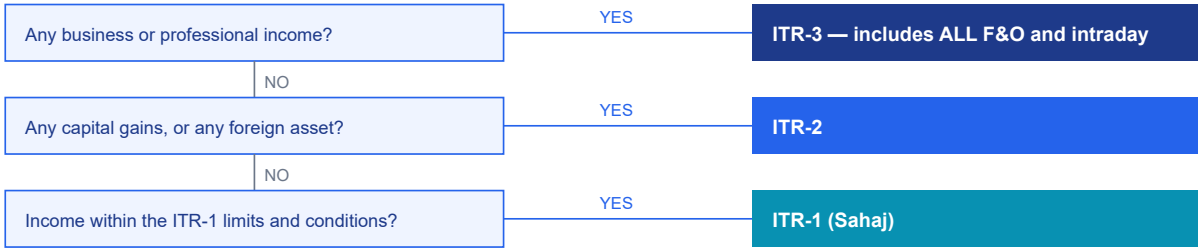
  Over-estimating slightly is cheap: excess
  advance tax is refunded with interest under
  s.244A. Under-estimating costs 1% a month.
  When in doubt, pay a little more.

VERIFY all rates, thresholds, instalment dates
and the exact scope of the s.234C capital gains
relief at incometax.gov.in. Have a chartered
accountant check your computation.
```

Which ITR Form, and Which Schedules

Choosing the wrong form produces a defective return under s.139(9), a notice, and a correction cycle. The rule is driven by the *nature* of your income, not its size, and a single derivatives trade or a single foreign asset changes the answer.

Which ITR form (individuals — verify current year applicability)



Disqualifiers for ITR-1 that catch investors

Any capital gain · any foreign asset or foreign income · being a director · holding unlisted equity
more than one house property · income above the ITR-1 ceiling · agricultural income above the limit

Form applicability and the ITR-1 conditions change each assessment year. Some years have permitted limited LTCG within ITR-1 subject to conditions. Verify the current year's form instructions at incometax.gov.in before choosing.

The schedules an investor must complete

Schedule	What goes in it	Trap
Schedule CG	All capital gains, split by asset type, by short-term and long-term, and by rate section (111A, 112A, 112)	Each sub-section has its own block. Putting s.112A gains into the general LTCG block applies the wrong rate and loses the exemption.
Schedule 112A	**Scrip-wise detail** of every long-term equity and equity-fund sale: ISIN, name, quantity, sale consideration, cost, and the 31-Jan-2018 fair market value for grandfathering	This is the most tedious schedule in the return. With dozens of SIP instalments redeemed, the row count explodes. The utility accepts a CSV upload — use the registrar's or broker's capital gains statement in the prescribed template rather than typing. **Verify whether scrip-wise reporting is required or consolidated reporting is permitted for the current assessment year; this has changed.**
Schedule OS	Interest, dividends, and other residual income, with a **quarterly break-up** of dividend income	The quarterly break-up drives the s.234C computation. Getting it wrong creates interest you do not owe, or understates interest you do.
Schedule CFL	Carried-forward losses by assessment year of origin, by type, with amounts set off and amounts carried further	Must reconcile exactly with prior years' returns. Errors here quietly destroy carry-forwards.
Schedule BP	Business income computation, where applicable — including the speculative and non-speculative split	F&O and intraday must be shown separately because their set-off rules differ.
Schedule FA	**Foreign assets and foreign income** — foreign bank accounts, foreign equity and debt holdings, foreign custodial accounts, foreign immovable property, beneficial interests, and foreign-source income	**Mandatory for a resident and ordinarily resident, regardless of value and regardless of whether income arose.** Reporting is on a **calendar-year** basis for some items while the return is for a financial year — read the instructions carefully. **Omission exposes you to the Black Money Act. See the next section.**
Schedule AL	Assets and liabilities, required where total income exceeds a	**Verify the current threshold.** Where applicable, lists immovable property, jewellery,

	stated threshold	vehicles, financial assets and liabilities at cost.
Schedule TR / Schedule FSI	Tax relief claimed for foreign taxes, and foreign-source income details	Must be read with **Form 67**, which is a separate filing with its own deadline.
Schedule TDS/TCS	Credit for tax deducted and collected	Must reconcile to Form 26AS. Mismatches delay refunds.
Schedule VDA	Virtual digital asset transactions	Each transaction's date of acquisition, date of transfer, cost and consideration. No loss set-off available.

✦ **The practical filing sequence**
(1) Download the broker's annual P&L and tax statement and the CAMS/KFintech capital gains statement. **(2)** Download the AIS, TIS and Form 26AS. **(3)** Reconcile your own tracker against both. **(4)** Resolve every difference *before* opening the return utility. **(5)** Then fill the return. Filling first and reconciling later produces a return you will have to revise.

Using the AIS, TIS and Form 26AS to Reconcile

The tax department now receives extensive third-party reporting about your financial life: every securities transaction, every dividend, every interest credit, every large deposit, every property registration. The Annual Information Statement is where you see what they have been told. Checking it before you file turns a potential notice into a five-minute correction.

The three statements compared

	Form 26AS	AIS (Annual Information Statement)	TIS (Taxpayer Information Summary)
Contains	TDS and TCS credited against your PAN, advance tax and self-assessment tax paid, refunds, certain high-value transactions	Comprehensive third-party reported information: securities transactions, mutual fund purchases and redemptions, dividends, interest, rent, property purchases, foreign remittances, GST turnover and more	A category-wise aggregated summary of the AIS, showing the value the department has derived after processing
Source	TRACES, accessed via the e-filing portal	e-filing portal, "Annual Information Statement" menu	Same place as the AIS
Can you respond to it?	No direct feedback mechanism	**Yes** — each line has a feedback option: information is correct / not fully correct / relates to another PAN / duplicate / denied	Updates automatically as AIS feedback is processed
Primary use	Claiming TDS credit correctly	Finding income you forgot, and finding errors in what was reported	A quick sanity check before filing
Is it authoritative?	For TDS credit, broadly yes	**No.** The AIS is information reported by third parties and can be wrong. It does not determine your liability.	No

When the broker's P&L disagrees with the AIS

This happens constantly, and in almost every case the explanation is one of a small number of structural differences rather than an error by either party.

Symptom	Usual cause	What to do
AIS shows a **much larger** securities transaction value than your gains	The AIS reports **gross sale consideration**, not gain. ₹40,00,000 of sales producing ₹1,20,000 of gain appears as ₹40,00,000.	Nothing — this is expected. Report the gain, not the turnover. Keep the reconciliation.
AIS shows transactions you do not recognise	An old demat account, a family member's transaction wrongly mapped to your PAN, or a duplicate feed from both the exchange and the depository	Investigate first. If genuinely not yours, submit AIS feedback marking it as relating to another PAN or as a duplicate.
AIS dividend figure differs from what you received	The AIS reports the **gross** dividend; you received it net of TDS. Also, dividends declared in March and credited in April straddle the year.	Report gross; claim TDS credit. Check the credit date against the financial year.
Broker's P&L shows a different gain than your own tracker	The broker may apply FIFO where you assumed otherwise; grandfathering may be applied differently; corporate action adjustments may be wrong	Reconcile lot by lot. **Your records govern, not the broker's report** — but you must be able to evidence your position.
Mutual fund gains differ between the AMC statement and the AIS	Different registrars, different reporting basis, or units held in demat versus folio form reported twice	Use the registrar's consolidated capital gains statement as your base; mark AIS duplicates via feedback
AIS shows interest you did not know about	A dormant account, a recurring deposit, an NRE/NRO account, or a savings account you forgot	Include it. This is the single most common cause of a s.143(1) mismatch notice.
Form 26AS TDS does not match the broker or bank certificate	The deductor filed the TDS return late or quoted the wrong PAN	Chase the deductor to correct their TDS return. You cannot claim a credit the department does not see.

TEXT

A RECONCILIATION WORKSHEET

Source	Value reported	Your figure	Difference	Explanation
AIS: sale of securities	Rs 41,80,000	Rs 41,80,000	nil	gross consider
AIS: purchase of securities	Rs 38,20,000	Rs 38,20,000	nil	
Broker P&L: realised STCG	Rs 1,42,600	Rs 1,38,900	Rs 3,700	broker applied bonus tranche; working differ
Broker P&L: realised LTCG	Rs 2,06,000	Rs 2,06,000	nil	
AIS: dividend	Rs 71,400	Rs 64,260	Rs 7,140	AIS is GROSS; 10% TDS. Repor claim 7,140 cr
AIS: savings interest	Rs 18,900	Rs 12,400	Rs 6,500	forgotten dorm second bank -
AIS: FD interest	Rs 94,200	Rs 94,200	nil	
26AS: total TDS	Rs 4,41,640	Rs 4,41,640	nil	
AIS: MF redemption	Rs 6,40,000	-	-	duplicate of t line; submit A

ACTIONS

1. Add Rs 6,500 of forgotten interest to Schedule OS
2. Report dividend gross, claim TDS credit
3. Mark the duplicate MF line via AIS feedback
4. Document the Rs 3,700 FIFO difference with the lot working and keep the contract notes; be prepared to explain if queried
5. Recompute advance tax interest after adding the extra interest income

Thirty minutes of work. Prevents a s.143(1) intimation with a demand, and preserves the ability to explain the one genuine difference.

The AIS is information, not an assessment

An entry in the AIS does not create a liability and an omission from it does not remove one. Your return must report your actual income, computed from your actual records. The AIS is a cross-check and a prompt — its value is in catching the account you forgot and the transaction that was wrongly attributed to you. Submit feedback on genuine errors; do not blindly copy the AIS into your return.

NRI Investors — the Differences That Matter

Residential status under the Income-tax Act is determined by physical presence tests, not by citizenship or by which passport you hold, and it is determined afresh every year. For someone who moves abroad mid-career, the tax position of the same portfolio can change substantially.

⚠ **Residential status rules are intricate — verify and take advice**
The tests under **s.6** involve day-counts (the 182-day test, and a 60-day test extended to 182 days in specified cases), the "resident but not ordinarily resident" (RNOR) intermediate category, and — since Finance Act 2020 — a **deemed residence** provision for Indian citizens with Indian income above a threshold who are not liable to tax in any other country. The rules interact with FEMA residency, which is a **separate and different** determination. **Do not self-assess residential status for a year in which you moved. Take professional advice.** As at FY 2025-26.

Key differences

Aspect	Resident and ordinarily resident	Non-resident
Scope of taxation	**Global income**	Income that accrues or arises in India, or is received in India
Foreign asset disclosure	**Schedule FA mandatory**	Not required for foreign assets
Capital gains on Indian listed equity	20% STCG / 12.5% LTCG, paid by self-assessment and advance tax	Same rates, but **TDS is deducted at source** on the gains — typically by the broker or AMC — which is a significant operational difference
TDS on capital gains	Generally none on equity sales	**Yes** — under s.195 and related provisions, at rates applicable to the gain type. Frequently over-deducted, requiring a refund claim.
s.112A ₹1.25 lakh exemption	Available	Available for the gains chargeable under s.112A — but TDS may be deducted without giving effect to it, requiring a refund. Verify.
Basic exemption limit set-off against special-rate income	A resident may set off unused basic exemption against s.111A/112A gains	**A non-resident generally cannot.** This is a real and often overlooked disadvantage.
Account types	Ordinary resident savings and demat	**NRE** (repatriable, interest exempt), **NRO** (non-repatriable beyond limits, interest taxable), **FCNR**. Demat must be NRE or NRO designated, under the Portfolio Investment Scheme where applicable.
Intraday and F&O	Permitted	**Restricted** — NRI participation in derivatives and intraday is subject to specific RBI and SEBI conditions, including custodial arrangements. **Verify current rules at rbi.org.in and sebi.gov.in.**
DTAA relief	Claims foreign tax credit in India	May claim treaty benefits in India by furnishing a **Tax Residency Certificate** and **Form 10F**
Repatriation	LRS applies on outward remittance	Repatriation from NRO is subject to annual limits and to a chartered accountant's

		certification (Forms 15CA/15CB)
Chapter VI-A deductions	Available if the old regime is chosen	Several are restricted or unavailable. Verify each.

> ✕ **The year you move is the year to get advice**
> A mid-year move creates a part-year position where you may be resident for that financial year despite living abroad, where foreign income earned after the move may still be taxable in India, where Schedule FA may apply, and where the RNOR category may or may not shelter foreign income for two or three years. Simultaneously, **FEMA** requires you to re-designate resident accounts as NRO within a defined period — a separate obligation with its own consequences. **Engage a chartered accountant with cross-border experience in the year you move, and again in the year you return.** This is not a do-it-yourself situation.

Foreign Investing: LRS, TCS, Schedule FA and the Black Money Act

Investing abroad as a resident Indian is entirely legal and operationally straightforward. The compliance around it is neither straightforward nor forgiving, and the penalty regime for non-disclosure is deliberately disproportionate. If you invest abroad, the disclosure is not optional and it is not a formality.

The Liberalised Remittance Scheme

Element	Position as at FY 2025-26 (verify at rbi.org.in)
Who	Resident individuals, including minors (with a guardian countersigning)
Annual limit	**USD 250,000** per financial year per individual, across all permitted current and capital account transactions combined
Permitted capital account uses	Purchase of foreign securities, overseas property, opening a foreign bank account, setting up a wholly owned subsidiary or joint venture subject to the Overseas Investment Rules
Permitted current account uses that share the same limit	Travel, education, medical treatment, gifts, maintenance of relatives, employment emigration
Prohibited	Remittance for margin or margin calls to overseas exchanges, trading in foreign exchange abroad, lottery and gambling, remittances to countries identified as non-cooperative by FATF, remittances to entities identified as posing terrorism risk. **Note the margin prohibition — it effectively rules out leveraged overseas derivatives trading via LRS.**
Documentation	**Form A2** and the bank's LRS declaration at each remittance; PAN mandatory
Family pooling	Each individual has their own limit. Pooling is permitted for certain purposes subject to conditions. **Verify — structuring remittances to circumvent the limit is a FEMA contravention.**

TCS on LRS remittances

⚠ **TCS rates and thresholds have changed repeatedly — verify current rates at incometax.gov.in**

Tax Collected at Source under **s.206C(1G)** applies to LRS remittances above an annual threshold, at rates that differ by purpose — education and medical remittances are treated more favourably than investment remittances, and education funded by an education loan more favourably still. The threshold and the rates have been revised more than once. **Confirm the current position before remitting.**

TEXT

TCS ON AN LRS REMITTANCE - HOW IT WORKS
ILLUSTRATIVE MECHANICS. VERIFY CURRENT RATES
AND THRESHOLDS.

Suppose a resident remits Rs 18,00,000 during
FY 2025-26 for investment in foreign securities,
and suppose the applicable TCS rate above the
annual threshold is 20% on the amount exceeding
the threshold. (THE RATE AND THRESHOLD MUST BE
VERIFIED - this is an illustration of the
MECHANISM, not a statement of the current rate.)

Total remitted in the year	Rs 18,00,000
Threshold (assume)	Rs 7,00,000
Amount above threshold	Rs 11,00,000
TCS at the applicable rate	Rs 2,20,000

CASH FLOW: the bank collects Rs 2,20,000 in
addition to the Rs 18,00,000 remitted. You
part with Rs 20,20,000 to invest Rs 18,00,000.

TCS IS NOT A TAX. IT IS A PREPAYMENT.
It appears in your Form 26AS as a credit
against your PAN.
You claim it in your return:
- against your total tax liability for the
  year, OR
- as a refund if your liability is lower

If your total tax liability for FY 2025-26 is
Rs 6,80,000 and TDS from salary was
Rs 4,20,000:

liability	Rs 6,80,000
less TDS	Rs 4,20,000
less TCS	Rs 2,20,000
NET PAYABLE	Rs 40,000

The TCS has done its job. Nothing was lost
except the time value of Rs 2,20,000 between
remittance and filing.

REDUCING THE CASH-FLOW IMPACT
- You may ask your employer to take TCS into
  account when computing salary TDS, under the
  provisions permitting this. VERIFY the
  current mechanism and your employer's
  willingness.
- Reducing advance tax instalments to reflect
  the TCS credit is legitimate, provided the

```
    TCS actually appears in 26AS.
  - Spreading remittances to stay under the
    threshold is legitimate planning only if the
    remittances are genuinely needed at those
    times. Artificial splitting across family
    members to avoid the limit is a FEMA issue,
    not a tax-planning idea.

THE REAL COST: the time value of money, plus the
administrative effort, plus the risk that the
TCS does not appear correctly in 26AS and you
have to chase the bank. Budget for it when
sizing an international allocation - see the
portfolio construction guide.
```

Schedule FA and the Black Money Act

Element	Position (verify)
Who must file Schedule FA	Every **resident and ordinarily resident** who, at any time during the relevant period, held any foreign asset, had signing authority over a foreign account, was a beneficial owner or beneficiary of a foreign asset, or had foreign-source income
Threshold	**None.** The obligation applies regardless of value. A foreign bank account with a balance of one dollar is reportable.
What is reportable	Foreign depository accounts, foreign custodial accounts, foreign equity and debt interests, foreign cash value insurance or annuity contracts, foreign immovable property, other foreign capital assets, trusts in which you are a trustee/beneficiary/settlor, and any other foreign-source income
Reporting period	For several tables, the **calendar year** preceding the relevant financial year rather than the financial year itself. **Read the instructions for the specific assessment year — this catches people out.**
Valuation	Peak balance, closing balance and gross amounts credited, converted using the prescribed rates. Follow the schedule's own instructions.
What counts that people miss	ESOPs and RSUs of a foreign parent company held abroad; a foreign brokerage account even with a nil balance; a foreign bank account retained after returning to India; a foreign retirement account; cryptocurrency held on a foreign exchange (**verify the current reporting position for VDAs**); a foreign life insurance policy with cash value
Consequence of non-disclosure	Exposure under the **Black Money (Undisclosed Foreign Income and Assets) and Imposition of Tax Act, 2015**, which provides for a flat rate of tax on undisclosed foreign income and assets, a penalty that can be a multiple of the tax, and prosecution provisions. A separate penalty for failure to disclose foreign assets in the return is also provided. **The penalty is not proportionate to the value of the asset.**

This is the single highest-consequence compliance item in this guide

An Indian software engineer with RSUs in a US-listed parent company, or a small brokerage account opened to buy foreign shares, is a **resident holding a foreign asset** and must complete Schedule FA every year while that holding exists. The amount involved is irrelevant — the obligation is absolute. Departments have obtained extensive information through automatic exchange of information arrangements (CRS and FATCA), so non-disclosure is increasingly likely to be detected. **If you hold any foreign asset at all, have a chartered accountant complete Schedule FA for you. If you have failed to disclose in past years, take professional advice immediately on the available routes — do not simply start disclosing from this year and hope.** Verify current provisions at incometax.gov.in.

Crypto and Virtual Digital Assets

Virtual digital assets were brought into the tax net by the Finance Act 2022 with a regime deliberately designed to be unattractive: a flat high rate, no deduction except cost, no set-off of losses against anything, and a transaction-level TDS that creates a complete audit trail. Whatever view you take of the asset class, the tax treatment alone makes it structurally unsuitable as a portfolio sleeve for a taxable Indian investor.

The regime

Element	Position as at FY 2025-26 (verify)
Charging section	**s.115BBH**
Rate	**30%** flat on income from transfer of a VDA, plus surcharge and cess. No slab benefit. No basic exemption applied to it.
Deductions allowed	**Only the cost of acquisition.** No transaction fees, no exchange charges, no infrastructure cost, no interest, nothing else.
Holding period	**Irrelevant.** No short-term or long-term distinction.
Loss set-off	**None.** A loss on one VDA cannot be set off against a gain on another VDA, let alone against any other income.
Loss carry-forward	**Not permitted.**
TDS	**s.194S** — 1% on the consideration for transfer of a VDA, above stated thresholds, deducted by the exchange or by the payer. Applies to transfers including crypto-to-crypto swaps.
Gifts of VDAs	Taxable in the recipient's hands under s.56(2)(x) where the conditions are met
Reporting	**Schedule VDA** in the return, transaction by transaction
Foreign exchanges	Holdings on a foreign exchange raise **Schedule FA** questions in addition. **Verify the current reporting position.**
Regulatory status	VDAs are **not** regulated as securities by SEBI, and the investor protection mechanisms described later in this guide — investor protection fund, SCORES, SMART ODR — do **not** apply. Exchanges operate under PMLA registration obligations with FIU-IND. **Verify the current regulatory position.**

TEXT

```
WHY THE VDA REGIME IS STRUCTURALLY HOSTILE
ILLUSTRATIVE. VERIFY CURRENT PROVISIONS.

A taxpayer makes three VDA transactions in a
year:

  Asset A: bought Rs 3,00,000, sold Rs 4,80,000
           GAIN Rs 1,80,000
  Asset B: bought Rs 2,50,000, sold Rs 1,10,000
           LOSS Rs 1,40,000
  Asset C: bought Rs 1,80,000, sold Rs   60,000
           LOSS Rs 1,20,000

  NET ECONOMIC RESULT
    1,80,000 - 1,40,000 - 1,20,000
    = LOSS of Rs 80,000

  TAX COMPUTATION UNDER s.115BBH
    Gain on A                  Rs 1,80,000
    Loss on B: NOT SET OFF
    Loss on C: NOT SET OFF
    Taxable VDA income         Rs 1,80,000
    Tax at 30%                 Rs   54,000
    Cess 4%                    Rs    2,160
    TOTAL TAX                  Rs   56,160

  THE TAXPAYER LOST Rs 80,000 AND PAID
  Rs 56,160 OF TAX.
  Combined outcome: Rs 1,36,160 worse off.

  Plus 1% TDS under s.194S on EACH transfer:
    on 4,80,000 + 1,10,000 + 60,000
    = Rs 6,50,000 x 1% = Rs 6,500
  (claimable as a credit, but it is cash out
   in the meantime)

  AND the Rs 2,60,000 of losses cannot be
  carried forward. They are gone.

COMPARE the identical economic outcome in
listed equity:
  STCG on A Rs 1,80,000
  STCL on B Rs 1,40,000 - SET OFF
  STCL on C Rs 1,20,000 - SET OFF
  Net capital loss Rs 80,000
  TAX: NIL, and Rs 80,000 of loss carried
  forward for 8 years.
```

```
THE DIFFERENCE IS Rs 56,160 OF TAX PLUS
Rs 80,000 OF PRESERVED LOSS, ON IDENTICAL
ECONOMICS.

A SECOND TRAP: a crypto-to-crypto swap is a
TRANSFER. Exchanging one VDA for another
crystallises a taxable gain on the one
disposed of, even though no rupees were
received and no cash is available to pay the
tax. Taxpayers have found themselves with a
tax liability and no liquidity.

A THIRD TRAP: airdrops, staking rewards, mining
output and similar receipts have their own
treatment questions. VERIFY and take
professional advice.
```

Not a recommendation either way

This section describes the tax treatment; it is not a view on whether VDAs are a sound investment, and nothing here recommends buying or avoiding them. The relevant point for portfolio purposes is narrow and factual: **an asset class where losses cannot offset gains, where a swap triggers tax without cash, and where no investor protection framework applies, behaves very differently from a regulated security even before considering price volatility.** If you hold VDAs, keep transaction-level records from day one and have a chartered accountant prepare Schedule VDA.

The Regulatory Layer — SEBI, Protection and Grievance Routes

Tax determines what you keep. Regulation determines whether you get it at all. India's securities market has an unusually developed retail protection architecture — a statutory regulator, segregated client assets, investor protection funds, a public grievance portal and an online dispute resolution system — and almost no retail investor knows how to use any of it until something goes wrong.

Who regulates what

Body	Remit	Where
SEBI	Securities markets: stock exchanges, brokers, depositories, mutual funds, portfolio managers, investment advisers, research analysts, merchant bankers, listed-company disclosure, insider trading, market manipulation	**sebi.gov.in**
RBI	Banks, NBFCs, payment systems, foreign exchange under FEMA, government securities markets, LRS	**rbi.org.in**
IRDAI	Insurance, including unit-linked insurance products	irdai.gov.in
PFRDA	NPS and the pension sector	pfrda.org.in
MCA	Companies Act compliance, filings, the Investor Education and Protection Fund	mca.gov.in
Stock exchanges (NSE, BSE)	First-level regulation of their members, investor grievance redressal, arbitration, and the investor protection fund	nseindia.com, bseindia.com
Depositories (NSDL, CDSL)	Demat account operation, depository participant oversight	nsdl.co.in, cdslindia.com
AMFI	Industry body for mutual funds; distributor registration (ARN), NAV and data publication, best-practice circulars	**amfiindia.com**
FIU-IND	Anti-money-laundering reporting obligations, including for VDA service providers	fiuindia.gov.in

Verifying that an intermediary is actually registered

⚠ **Do this before you pay anyone anything**

SEBI publishes a searchable list of **registered intermediaries** on **sebi.gov.in**, covering investment advisers, research analysts, brokers, portfolio managers, mutual funds and others. Every registered entity has a registration number in a prescribed format and is required to display it. **Check the name and the number on the SEBI site itself, not on the intermediary's own website or marketing material.** SEBI also publishes a list of entities against which action has been taken, and periodically issues cautions about unregistered entities. Separately, AMFI publishes ARN holder details for mutual fund distributors. **An unregistered "adviser" offering tips, assured returns or profit-sharing is operating outside the regulatory perimeter, and if they take your money there is no investor protection fund, no SCORES route and no arbitration available to you.**

- ☐ Search the entity's exact name on the SEBI intermediary database and confirm the category and the registration number.
- ☐ Confirm the category matches what they are actually doing. A **research analyst** registration does not permit providing personalised investment advice; only an **investment adviser** registration does.
- ☐ Check whether the entity appears in SEBI's enforcement orders or in any exchange's list of defaulting or expelled members.
- ☐ For a broker, confirm the exchange membership on the exchange's own site and verify the SEBI registration number on the contract notes you receive.
- ☐ Never pay an "adviser" into a personal account, never agree to profit-sharing, and never hand over trading credentials. **SEBI-registered investment advisers are required to charge fees in a prescribed manner and are prohibited from certain arrangements — verify the current rules.**
- ☐ Be sceptical of anyone guaranteeing returns. Assured-return claims in securities are a regulatory red flag in themselves. See the sources guide for how these operations are structured.

Protections that exist by design

Protection	What it does	Limits
Client asset segregation	Securities are held in **your own demat account** with a depository, not in the broker's name. Client funds must be segregated from broker funds.	Does not protect against your own trading losses, nor against unauthorised trading if you share credentials
Upstreaming and pledge rules	Rules requiring client securities to be pledged rather than transferred for margin, and client funds to be handled in prescribed ways	**Verify the current framework** — these rules were substantially tightened following broker defaults and continue to evolve
Investor Protection Fund (IPF)	Maintained by each stock exchange to compensate investors for claims arising from the default of a trading member, up to a stated maximum per investor	Covers broker **default**, not market losses. The per-investor cap is finite — **verify the current amount on the exchange's website**. Claims must be made within stated time limits after a member is declared a defaulter.
Investor Education and Protection Fund (IEPF)	Under the MCA — unclaimed dividends and shares transferred to the IEPF after seven years can be reclaimed by the rightful owner	The reclaim process is documentation-heavy. See the unclaimed assets section.
Deposit insurance (DICGC)	Bank deposits insured up to a stated limit per depositor per bank	**₹5,00,000 as at FY 2025-26 — verify at rbi.org.in.** Does not cover securities or mutual funds.
Mutual fund trust structure	Scheme assets are held by a trustee company and a custodian, legally separate from the AMC	Does not protect against market losses or credit events within the scheme portfolio
Mandatory disclosure	Listed companies must disclose material events; mutual funds must publish portfolios and NAVs	Disclosure is not a guarantee of quality

Grievance routes, in escalation order

Escalating a securities market complaint

1 · The entity
Written complaint to the compliance officer

→

2 · Exchange / AMC
Exchange investor grievance cell

→

3 · SCORES
SEBI's online complaint portal

→

4 · SMART ODR
Online conciliation, then arbitration

Parallel and later routes

Investor Protection Fund
Only on broker default, capped

Securities Appellate Tribunal
Appeals against SEBI orders

Consumer / civil courts
Slow; generally a last resort

Each stage has stated response timelines. Escalate only after the previous stage has had its time — a premature escalation is usually routed back. Keep every reference number. Verify the current process at sebi.gov.in.

Structure as at FY 2025-26 / early 2026. SCORES has been revised (the "SCORES 2.0" framework) and SMART ODR is relatively new. Verify the current process, timelines and entry points at sebi.gov.in before filing.

Stage	Use it for	Practical notes
1. The entity's own compliance officer	Any complaint, first	Must be in writing. Every regulated intermediary is required to publish compliance officer contact details. Keep the acknowledgement — later stages ask for it.
2. Exchange / depository / AMC grievance cell	Broker disputes, demat issues, mutual fund service failures	NSE and BSE both operate investor grievance mechanisms with stated timelines. AMCs are required to have an investor relations officer.
3. SCORES (SEBI Complaints Redress System)	Complaints against any SEBI-registered intermediary or listed company	Online at the SEBI portal. The complaint is routed to the entity with a response timeline, and you can escalate within the system if the response is unsatisfactory. **Verify the current SCORES process and timelines — the framework was revised.**
4. SMART ODR (Securities Market Approach for Resolution through Online Dispute Resolution)	Disputes not resolved through the above — conciliation first, then arbitration	A common online portal for market participants. Has prescribed fees, timelines and conciliator/arbitrator panels. **Verify the current scope, cost and process.**
Investor Protection Fund	Claims arising from a **declared default** of a trading member	Time-bound claim windows after the default declaration, with a per-investor cap. Watch the exchange's notices.
Securities Appellate Tribunal	Appeals against SEBI orders	Not a route for a routine service complaint
RBI Ombudsman	Banking complaints, including those arising from banking services connected to investing	Different scheme, different regulator — use the correct one or the complaint is rejected

Nomination and transmission

⚠ **Nomination rules for demat and mutual fund accounts have been revised repeatedly — verify the current requirement**

SEBI has mandated nomination (or an explicit opt-out declaration) for demat accounts and mutual fund folios, with deadlines that have been extended several times, and has subsequently expanded the framework — including provisions for multiple nominees with percentage allocations and for the treatment of incapacitated investors. **Verify the current requirement, the number of nominees permitted, and the consequences of non-compliance (which have included freezing of accounts for debit) at sebi.gov.in and with your DP and AMC.**

Concept	What it is	What it is not
Nomination	A direction to the intermediary about **to whom the assets should be released** on death	**Not a testamentary document.** A nominee generally receives as a trustee for the legal heirs unless they are also the heir under succession law or under a will. Nomination does not override a will or the applicable succession law.
Joint holding	Co-ownership, generally with survivorship for operational purposes	Not necessarily a determination of beneficial ownership
Will	A testamentary disposition governing who inherits	Not a substitute for nomination — without nomination, transmission is slower and more document-intensive
Transmission	The process of transferring securities to the nominee or legal heir on death	Not a "transfer" for capital gains purposes — see the earlier table. The heir inherits the original cost and holding period.

- ☐ Register a nominee on **every** demat account, mutual fund folio, bank account, EPF, NPS, PPF and insurance policy.
- ☐ Where the framework permits multiple nominees, specify percentages that add to 100 and keep them consistent with your will.
- ☐ Make a will. Nomination and will should say the same thing; where they differ, the resulting dispute falls on the people you were trying to protect.

- [ ] Keep a single document listing every institution, account type and approximate value — **not passwords** — and tell one trusted person where it is.
- [ ] Review nominations after marriage, a birth, a death or a divorce. Stale nominations are common and cause real harm.
- [ ] Understand that transmission requires documentation — death certificate, identity proof of the claimant, and depending on the value and whether nomination exists, possibly a succession certificate, probate or letter of administration. **Verify the current thresholds and simplified procedures, which SEBI has worked to streamline.**

Unclaimed and forgotten assets

Asset type	Where it goes	How to search / reclaim
Unclaimed dividends and the underlying shares (unclaimed for the statutory period)	Transferred to the **Investor Education and Protection Fund (IEPF)** under the Companies Act	Search the IEPF portal under the MCA; reclaim via the prescribed form with company verification. Document-heavy and slow — **verify the current process at mca.gov.in.**
Inoperative bank accounts and unclaimed deposits	Transferred to the RBI's Depositor Education and Awareness fund after the stated period	The RBI operates a centralised search facility for unclaimed deposits — **verify the current name and access route at rbi.org.in.** Claims are made through the bank.
Forgotten mutual fund folios	Remain with the AMC/registrar	Request a consolidated statement by PAN from CAMS and KFintech, or use **mfcentral.com**
Forgotten demat holdings	Remain in the demat account, which may be frozen for non-KYC or non-nomination compliance	Request a CAS from NSDL/CDSL covering all accounts linked to your PAN
Unclaimed EPF	Remains with EPFO	EPFO member portal; UAN consolidation across employers
Unclaimed insurance proceeds	Remain with the insurer, with IRDAI-mandated disclosure	Insurers publish unclaimed amount search facilities

✦ **The one-hour audit worth doing once**

Request a consolidated statement by PAN from both depositories and both mutual fund registrars, across every email address you have ever used, plus an EPFO UAN check and an IEPF search in your own name and your parents' names. Most people who have been earning for a decade find something — an old folio from a first job's tax-saving investment, shares from an IPO allotment in 2007, a dormant account. The search costs an hour; the alternative is that it becomes someone else's problem in forty years.

Frequently Asked Questions

Common questions from Indian investors. These are general explanations as at FY 2025-26 / AY 2026-27, not advice, and every one of them should be confirmed with a chartered accountant against your actual facts and the current law.

I only have salary and some mutual fund SIPs. Do I need to do anything beyond ITR-1?

If you redeemed any units during the year, you have capital gains and **ITR-1 is not available** — you need ITR-2. SIP contributions alone create no tax event; only redemptions, switches and dividend receipts do. Note that a **switch** between schemes, or between regular and direct plans, counts as a redemption. If you did nothing but contribute, ITR-1 may remain available subject to the other conditions. **Verify the current year's form conditions at incometax.gov.in.**

I made one F&O trade for ₹800 of profit. Does that really change my return?

Yes. F&O is non-speculative business income regardless of size, which means **ITR-3**, the business schedules, and a different advance-tax position. There is no de-minimis exemption. This is worth knowing before you make the trade rather than after. If you have already done it, the return is still perfectly filable — it is just more work, and most people in this position use a chartered accountant.

How is my SIP taxed — as one investment or many?

Each instalment is a separate acquisition with its own date and its own cost. A 36-month SIP creates 36 lots. On redemption, the holding period is computed lot by lot, and Indian mutual funds generally redeem on a **FIFO** basis within a folio. So a partial redemption after four years sells the oldest instalments first, which are long-term. A full redemption after 14 months produces a mix: the first two instalments are long-term and the rest are short-term. The registrar's capital gains statement does this computation for you — check it rather than estimating.

What exactly is the ₹1.25 lakh exemption and how do I use it?

It is an exemption of **₹1,25,000 (125,000 rupees) per financial year** on the **aggregate** of long-term capital gains chargeable under s.112A — listed equity shares and equity-oriented mutual fund units combined. It is per person, not per holding or per account, it resets annually and is lost if unused, and

it applies after setting off capital losses. The practical use is **tax-gain harvesting**: each year, realise roughly ₹1,25,000 of long-term gain and immediately repurchase the same exposure, which resets your cost basis upward at no tax cost. Do it in early March, not on 31 March, and net of transaction costs. **Verify the current limit.**

Why did my broker's tax statement and the AIS show completely different numbers?

Almost certainly because the AIS reports **gross sale consideration** while your broker reports **realised gain**. ₹50,00,000 of sales producing ₹2,00,000 of gain shows as ₹50,00,000 in the AIS. This is expected and is not a discrepancy. Genuine discrepancies usually come from duplicate reporting (the same transaction reported by both the exchange and the depository), an old account wrongly linked to your PAN, or dividends reported gross versus received net. Use the AIS feedback mechanism for genuine errors and keep your reconciliation working.

I forgot to file last year and I had a big trading loss. Can I still carry it forward?

If the return was filed after the s.139(1) due date, **no** — business losses and capital losses cannot be carried forward from a belated return, under s.139(3) read with s.80. The loss is forfeited. There are limited condonation provisions in specific circumstances under s.119(2)(b), but they are discretionary and not a routine remedy. **Take professional advice immediately rather than assuming nothing can be done, but set expectations accordingly.** The lesson for every future year: file by the due date even when you owe nothing.

My employer gave me RSUs in a US-listed parent. What do I need to do?

Several things, and this is an area where a chartered accountant is not optional. In outline: the **perquisite value at vesting** is taxed as salary and your employer generally withholds on it; the **capital gain on eventual sale** is computed from the vest-date fair market value as cost, in rupees at the prescribed conversion rate, and is taxed as a **foreign share** — not under s.111A/112A, with a 24-month long-term threshold; any **dividends** are taxable in India with foreign tax credit available subject to **Form 67**; and the holding must be disclosed in **Schedule FA** every year while you hold it, regardless of value. The Schedule FA point is the one with disproportionate consequences if missed. **Verify all of this against the current law with a professional.**

Is switching from a regular plan to a direct plan worth the tax?

Compute it rather than assuming. A switch is a redemption plus a purchase, so it realises the embedded gain and restarts the holding period. The saving is the expense ratio difference — often 0.8–1.2 percentage points a year — applied to the whole balance going forward. On a holding with a small embedded gain the switch pays back in months; on one with a large long-held gain it can take several years. The usual sensible approach is to **stop new contributions to the regular plan immediately** (free) and switch the existing balance in tranches across financial years, using the s.112A exemption each year.

Can I use my spouse's ₹1.25 lakh exemption by gifting them shares?

Generally not for this purpose. Under **s.64**, income arising from assets transferred to a spouse without adequate consideration is **clubbed** with the transferor's income. Gifting securities to a spouse to realise gains in their hands therefore does not usually achieve the intended result. A spouse with their **own independent income** investing their **own money** has their own exemption, which is an entirely different thing. **The clubbing provisions have exceptions and nuances — take professional advice rather than relying on a general statement.**

What is "turnover" for an F&O trader and will I need a tax audit?

Turnover for derivatives is **not** the notional contract value. It is computed per the ICAI Guidance Note on tax audit — broadly the absolute sum of settlement profits and losses, with the treatment of premium received on sale of options depending on which edition of the Guidance Note is followed. **That specific point was revised and is the main source of disagreement.** On audit: the s.44AB thresholds (₹1 crore, extended to ₹10 crore where cash receipts and payments are each within 5%) interact with s.44AD in ways that can require an audit even for a loss-making trader. **This is genuinely complicated. Engage a chartered accountant.**

I invested in US stocks through an Indian platform. Do I need Schedule FA?

It depends on the structure, and you must determine which one you used. If you invested through an **Indian mutual fund or fund-of-fund** that invests overseas, you own units of an Indian scheme — you hold no foreign asset, and Schedule FA is not triggered by that holding. If you remitted under **LRS to a foreign brokerage account** and hold the shares abroad, you hold a foreign asset and a foreign custodial account, and **Schedule FA applies regardless of value, every year, including years with no income**. Many investors are unclear which they did. **Check, and if in doubt have a chartered accountant check. The consequence of getting this wrong is disproportionate.**

Why did my crypto loss not reduce my tax at all?

Because s.115BBH permits no set-off of VDA losses — not against other income, not against capital gains, and **not even against other VDA gains**. There is also no carry-forward. A year in which you gained on one coin and lost more on another produces tax on the gain and no relief for the loss. In addition, the only deduction permitted is the cost of acquisition — exchange fees and other costs are not deductible. **Verify the current provisions, but this has been the position since the regime was introduced.**

I got a notice saying my income does not match the AIS. What now?

Read it carefully to identify what kind of communication it is — an intimation under s.143(1) with an adjustment, a s.139(9) defective return notice, a s.142(1) enquiry and a s.148 reassessment notice are very different things with different deadlines and different responses. Then reconcile the specific line. The most common genuine causes are forgotten interest income, dividends reported gross versus recorded net, and transactions wrongly attributed to your PAN. Respond within the stated time through the e-filing portal. **For anything beyond a simple s.143(1) adjustment, engage a chartered accountant — a poorly worded response can create problems that a well-worded one would not.**

Should I choose the old or the new tax regime?

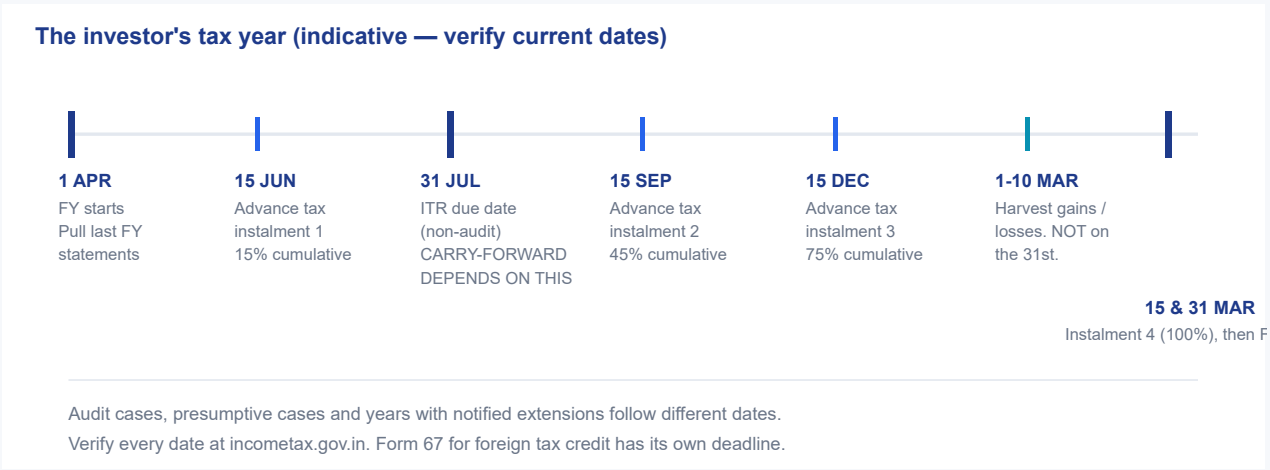
It is a computation, not a rule. The **new regime under s.115BAC is the default**, has wider slabs and lower rates, but **most Chapter VI-A deductions are unavailable** under it — including the common ones for specified investments, insurance premia, interest on certain loans, and donations, with a small number of exceptions. The old regime has narrower slabs and higher rates but permits those deductions. Which is better depends entirely on how much deduction you actually claim. The e-filing portal provides a comparison utility; run both. **Note also that the choice interacts with business income — the ability to switch regimes year to year is restricted for taxpayers with business income. Verify the current slabs, rebate, standard deduction and switching rules.**

What records should I keep, and for how long?

Keep contract notes, broker annual P&L and tax statements, registrar capital gains statements, demat and mutual fund account statements, bank statements, TDS certificates, advance tax challans, filed returns with acknowledgements, computation workings, corporate action documents, and — for anything foreign — broker tax statements, Form 67 and remittance documents. On retention: keep records relating to a capital asset for as long as you hold it **plus** the period during which the relevant assessment year can be reopened, which for serious cases can be many years. The practical answer for an individual investor is **indefinitely, digitally**; storage is free and reconstruction is impossible. **Verify the current reassessment time limits under s.148/s.149, which were restructured.**

The Tax-Year Calendar and Document Checklist

The whole year's compliance reduces to a handful of dated actions and one folder. Dates below are the standard pattern as at FY 2025-26 / AY 2026-27 and are **routinely changed by CBDT notification — verify each year at incometax.gov.in.**



Indicative standard pattern as at FY 2025-26 / AY 2026-27. Due dates are frequently extended by CBDT notification and differ for audit cases. Verify annually.

The month-by-month list

When	Action	Why it matters
April	Download the previous FY's broker annual P&L and tax statement, the CAMS/KFintech consolidated capital gains statement, and bank interest certificates	These take time to be released and longer to reconcile. Starting in July is why filings are rushed.
April	Open a folder for the new financial year. Record carry-forward losses available, with their expiry years.	Schedule CFL must reconcile across years
May–June	Reconcile your own tracker against the broker and registrar statements, lot by lot where they differ	Differences found now are explainable; differences found in a notice are not
15 June	Advance tax instalment 1 — 15% cumulative	s.234C interest at 1% a month on any shortfall
June–July	Download AIS, TIS and Form 26AS. Reconcile. Submit AIS feedback on genuine errors.	Prevents a s.143(1) mismatch intimation
By the due date (commonly 31 July, non-audit)	File the return	**Carry-forward of capital and business losses depends entirely on this.** Also avoids s.234A interest.
Same deadline	File **Form 67** if claiming foreign tax credit	Missing it can cost the entire credit
Within the prescribed period after filing	Verify the return (Aadhaar OTP, net banking, or the physical route)	**An unverified return is treated as not filed.** This has cost people their carry-forwards.
15 September	Advance tax instalment 2 — 45% cumulative	Re-estimate including gains realised to date
September–October	For audit cases: audit report and return per the applicable extended dates	Different deadlines; verify

15 December	Advance tax instalment 3 — 75% cumulative	—
January	Mid-year AIS check. First pass at the year's realised gains and losses. Decide the harvesting plan.	Two months to act beats two weeks
1–10 March	Execute tax-gain harvesting up to the s.112A exemption; harvest losses only against gains **above** the exemption	**Not on 30–31 March.** Confirm settlement cut-offs with your broker.
15 March	Advance tax instalment 4 — 100%	Includes tax on gains realised in the harvesting exercise
31 March	Financial year ends. Confirm nothing is pending settlement that you expected in this year.	A trade on 31 March may not land where you think it does
Any time a loss-carry-forward exists	Keep filing by the due date every year, even with nil income	Carry-forwards must be claimed continuously in the return

The document checklist for filing

- ☐ **Form 16** from every employer during the year
- ☐ **Form 26AS**, **AIS** and **TIS** downloaded from the e-filing portal
- ☐ **Broker annual P&L and tax statement** for each broker, covering equity delivery, intraday, F&O and the charges breakdown
- ☐ **Contract notes** for anything contested or unusual
- ☐ **Consolidated capital gains statement** from CAMS and KFintech for mutual funds, including the grandfathering computation for pre-1-Feb-2018 holdings
- ☐ **Demat CAS** from NSDL and CDSL covering all accounts linked to your PAN
- ☐ **Bank interest certificates** for every account, including dormant ones — the AIS will find the ones you forgot
- ☐ **TDS certificates** (Form 16A) from banks, companies and registrars
- ☐ **Advance tax and self-assessment challans** with CIN numbers

- ☐ **Corporate action documents** — bonus, split, rights, demerger ratios with the source filing reference
- ☐ **Last year's filed return and acknowledgement**, for the carry-forward schedule
- ☐ **Carry-forward loss schedule** by assessment year of origin, type and expiry
- ☐ For foreign holdings: **foreign broker tax statements**, withholding statements, LRS remittance documents and Form A2, TCS credit evidence, and the data needed for **Schedule FA** and **Form 67**
- ☐ For derivatives or intraday: the **turnover computation** with the basis used, the expense schedule with invoices, and the **fixed asset register** for depreciation
- ☐ For crypto: transaction-level records of every acquisition and transfer with dates, costs and consideration, and s.194S TDS evidence
- ☐ For property: sale deed, purchase deed, improvement cost evidence, brokerage invoices, and any s.54/54F/54EC reinvestment documentation

✓ **Where to go next**

For building the portfolio these rules apply to, see building and managing a portfolio, which covers tax-aware rebalancing and the annual review in detail. For the instruments, see mutual funds and SIPs and how the Indian market works. For the activities that convert you into a business-income taxpayer, see derivatives and options and trading strategy and risk. For verifying an intermediary and spotting an unregistered adviser, see market data, research and news sources.

✗ **Closing reminder**

This guide is **education, not tax advice, legal advice or investment advice**. No instrument is recommended anywhere in it. Every computation is an illustration of a method on stated assumptions, not a statement of your liability. **Every rate, threshold, due date and section number is stated as at FY 2025-26 / AY 2026-27 and must be verified at incometax.gov.in, sebi.gov.in and rbi.org.in before you rely on it.** In particular, **verify the current status** of: the **Income-tax Act 2025 replacing the 1961 Act from 1 April 2026 with all sections renumbered**; the **23 July 2024** capital gains changes; **s.50AA** on specified debt funds; the **1 October 2024** STT increases on F&O and the buyback regime change on the same date; and the **default new tax regime** and the deductions unavailable under it. **Have a chartered accountant review your actual return before you file it.** Capital is at risk in every investment discussed.